Issuer memos: one analyst, five groups of methods

FundamentalQuantmental HY Analyst: one memo per company, written by the process

Data as known on 2026-09-18

How these memos are made. One analyst runs every company through five groups of methods. Group 1 is the core process: Gatto's seven steps, our method, our rulebook and the relative value paper. Group 2 is the set of methods we built: the two clocks, the fair line and the pair, the economic stories, the gate and the health panel. Group 3 applies the lender's checklists (the credit skills) where public filings allow. Group 4 applies two books: Kricheff, and Ganguin and Bilardello (S&P). Group 5 links the economy to the company: the chance of a large fall in earnings, from the balance sheet and the macro state, set against the spread. It is not fitted yet and has no weight. Each group gives its own estimate of expected profit above a hedge, in bp a year. The combined estimate weighs six buckets as the user set them (core process 40.0%, two clocks 20.0%, built methods (rest) 18.0%, credit skills 5.0%, books and peers 17.0%, macro link 0.0%) and pays trading costs once. Each step is done, partial (it ran but needs an analyst input), or blocked. Missing inputs appear as open questions.

All issuers, ranked by the combined view

The combined column is after trading costs; the five bucket columns (with their weights) are before costs, in bp a year. "Cases" is the weighted cases and stories after costs. "Best alt." is the position the same money would rather hold (cash when nothing in the run beats it). **Alpha sizes are uncalibrated**: in the backtest, realised alpha was about 0.08 times the predicted alpha, so "Calibrated" multiplies the combined number by that slope (decision page 2026-10-22-alpha-backtest-design). The slope is not significant, so the numbers rank the issuers but do not size positions.

Rank	Issuer	Combined	Calibrated	G1 (40%)	G2 clocks (20%)	G2 rest (18%)	G3 (5%)	G4 (17%)	G5 (0%)	Cases	Best alt.	Gate
1	CRWV	**+3**	n/a	+249	-537	+654	-374	+362	n/a	+590	NCLH	Watch
2	THC	**-56**	n/a	-15	+318	+32	+0	+321	n/a	-236	CRWV	Pass
3	CCL	**-126**	n/a	+68	+153	-73	+0	+16	n/a	-218	CRWV	Pass
4	HCA	**-155**	n/a	+52	+343	-123	+0	-269	n/a	-382	CRWV	Pass
5	NCLH	**-193**	n/a	-193	+178	+110	-374	+94	n/a	-81	CRWV	Pass
6	MGM	**-230**	n/a	+16	-189	+29	+0	-189	n/a	-266	CRWV	Pass
7	WYNN	**-251**	n/a	-57	+7	-109	+0	-225	n/a	-406	CRWV	Pass
8	ORCL	**-258**	n/a	+105	-274	-250	-374	-47	n/a	-260	CRWV	Pass

What each part of a memo answers

Memo part	What it answers	Where it comes from
Top	The call and the combined view of the five groups	Methodology 8; F10, F12.1; decision 2026-10-22-four-group-combination
G1	The business, earnings, cash, debt, value, the funding gap, the refinancing shock, the decision against cash	Gatto steps 1-7; M4.1-4.3, M6, M7.5; F2-F5, F7; RV PDF (hyrv mapping items 1-4; C2, C3)
G2	The two clocks, the stories and cases, relative value and the pair, expected profit, the gate, the health panel	M4.7, M5.1-5.4, M7.4-7.5; F6, F8, F9, F10 S4
G3	Add-backs, the FCF check, covenant headroom, watchlist, trajectory, memo structure	hy-model-standards; ebitda-addback-treatment; covenant-compliance; borrower-monitoring; credit-memo-standards
G4	Kricheff's cash bridge, ratio set, snapshot and spread per turn; the S&P profiles and anchor	Kricheff ch. 9, 10, 21, 24; Ganguin and Bilardello ch. 2-5, 10, App. E
G5	The issuer's chance of a large EBITDA fall from its balance sheet and the economy, against its spread	M5.2.1; decision 2026-10-24-macro-link-method
End	Coming events, open questions, the record	F11, F12

Which steps ran

D done, **P** partial (ran; needs an analyst input), **B** blocked.

	Load the data	Describe the business	Check the earnings	Cash and debt due	Debt, ratios, covenants	Bills against contracts	Economic stories	Company value	Compare with peers	Compare the pair	Expected profit	Price against our view	Events and watchlist	Health check panel	Combined view	Size calibration	Decision against cash
CRWV	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
ORCL	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
HCA	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
THC	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
CCL	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
NCLH	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
MGM	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
WYNN	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P

The economic stories used in every memo

Probabilities combine economists' forecasts (Philadelphia Fed survey, Fed projections, Treasury market) with the stage of the cycle (expansion).

Story	Chance	GDP growth	Fed rate in 2 years	High yield spread (bp)
soft landing	86%	2.5%	3.9%	142
recession	2%	-0.0%	2.6%	369
higher for longer	8%	2.2%	5.5%	168
disinflation rally	4%	2.8%	2.1%	110
stagflation	0%	-0.1%	4.4%	376

Words used

Spread The extra yield a bond pays over a US Treasury of the same maturity. More risk, more spread.

bp (basis point) One hundredth of a percent. 100 bp = 1%.

EBITDA Yearly earnings before interest, tax, depreciation and amortisation: the cash the business makes before paying lenders.

EBITDAR EBITDA before rent. Used when rent is one of the bills.

Add-back A cost the company takes out of its own earnings figure because it calls the cost a one-off.

Leverage Debt divided by yearly earnings. With leases: (debt + leases) / (EBITDA + rent). 3x means three years of earnings.

Coverage How many times earnings (after capital spending, where stated) pay the interest bill.

Liquidity Cash plus unused credit lines, less the cash the business needs to run.

Funding gap Liquidity plus free cash flow, less the debt that falls due, quarter by quarter, if no lender refinances. Below zero, the company needs new money.

Refinancing shock The extra yearly interest when debt that falls due is refinanced at today's rates and spread.

Covenant headroom How far earnings (or cash) can fall before a loan test is broken.

Watchlist The lender's list of borrowers to watch: watch closely, watchlist, or workout.

Two clocks One clock counts the bills (rent, debt, interest) the company owes each year; the other counts the revenue customers have signed for. When the bills outlast the contracts, bondholders bet on renewals.

Fair spread The spread a company with this leverage pays, read off a line fitted across the companies in the run.

Economic story One of five views of the next two years, each with a probability from economists' forecasts and the stage of the cycle.

Breakeven default probability The yearly default rate at which the spread only pays for the loss in default. Our default chance below it favours the bond.

Loss on price What a holder loses in default per unit paid for the bond: price less the recovery, with the recovery discounted for the wait.

Expected profit (alpha) What the bond should earn above a hedge, after expected default losses; in bp a year.

Decision against cash The same money in the bond or in cash for six months, across every story and the default case.

Spread per turn The spread divided by leverage: bp paid for each year of earnings the debt represents.

S&P risk score A 1 (safest) to 10 (default) score that blends business risk and financial risk; it maps to a rating class.

Open question A number the data cannot give. An analyst must find it before the memo becomes a call.

CoreWeave (CRWV)

Recommendation. Watch. The bond looks cheap by more than the model's noise, every check points the same way, and the expected profit beats trading costs. Before it becomes a trade, an analyst must name a dated event that would close the gap and the level that would prove the view wrong. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: five groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the groups. It ranks 1 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+249	40%	+99	supports owning
G2 clocks. Two clocks	-537	20%	-107	against owning
G2 rest. Built methods (rest)	+654	18%	+118	supports owning
G3. Credit skills	-374	5%	-19	against owning
G4. Books and peers	+362	17%	+62	supports owning
Combined, before trading costs			**+153**	
Trading costs			-149	
Combined, after trading costs			**+3**	
Weighted cases and stories alone, after costs			+590	
Sized for a position (rank only, minimum size)			none	

Against the weighted cases and stories alone, the combination is 587 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 40%, two clocks 20%, built methods (rest) 18%, credit skills 5%, books and peers 17%. The macro link has no weight until its tests pass. The backtest alone would have put most weight on the built methods.

Position size. This number ranks the bond but does not size it. Source: linear size map fitted 2026-08-01 on 217 months, peer carry net, h = 6 months (decision page 2026-10-23-size-calibration). Fitted on past outcomes, every bond maps to about -108 bp a year: the average return of the sample against the index, not a view on this bond. The backtest ranks bonds well but overstates the size of the move; the size calibration refits that link each month from finished outcomes. Decision page: 2026-10-23-size-calibration.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: supports owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +249 bp a year before trading costs (costs are 149 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 1 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	+183	0%	+0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	-568	25%	-142	F4; RV PDF E75-E76
Debt against market value	+41	25%	+10	F7.7
Return above cash, repriced in every story	+1,522	25%	+380	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 739 bp over Treasuries at 5 years. Bonds of the same sector, rating and maturity pay 416 bp, so the bond is cheap by 323 bp. The high yield index pays 164 bp. The bills outlast the signed contracts (section G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** CoreWeave is The Essential Cloud for AITM, purpose-built to accelerate breakthroughs by AI pioneers, from leading research labs to enterprises fueling business growth. Our CoreWeave Cloud platform enables the full lifecycle of AI, including large-scale model training, inference, data movement, continuous iteration, and agentic workflows.
2. **How it earns:** revenue 7.6bn a year at a 50% EBITDA margin.
3. **What it must spend to stand still:** rent of about $2.1bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** contracts roll off or churn; the asset value cycle turns; the largest customer is 36% of revenue.

Business type: A5; flags: M3 concentration.

G1.3 Earnings, normalised

Last 12 months: EBITDA $3.8bn at a 50% margin; margin trend over 8 quarters -1.6 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.0bn. Free cash flow $-13.7bn: -363% of EBITDA. Earnings-quality flags raised: EQ7 conversion, FCF check (waterfall against OCF less capex) (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$7.0bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$7.0bn
Runway at today's cash burn, all capital spending (quarters)	2.0
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	2
Runway we quote (the shortest)	**2.0** (severe, committed capex)
Debt due in the next 18 months	$10.6bn
Cash to meet debt due in a year, base case	1.29x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.4bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$-5.3bn
First quarter below zero, likely story	quarter 6
Lowest point with all capital spending	$-45.3bn
First quarter below zero with all capital spending	quarter 2
Lowest point, severe case	$-8.9bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$-5.4bn
Debt due inside 8 quarters, share of all debt	30%

Refinancing shock. $10.6bn falls due in the next two years. It pays about 3.97% today (derived cash interest rate (LTM interest / debt)). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.9bn (23.8% of EBITDA). Interest cover after refinancing: 1.7x; after capital spending -7.6x. Free cash flow after the shock: -40.9% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$35.6bn
Lease liabilities	$16.5bn
EBITDA, last 12 months	$3.8bn
Debt / EBITDA	9.4x
(Debt + leases) / (EBITDA + rent)	8.9x
Net debt / EBITDA	8.0x
Coverage (after all capital spending)	-12.8x
Fixed-charge cover (after maintenance spending)	0.54x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
21873SAB4	9.25%	2030-06-01	93.7	11.37%	661
21873SAC2	9.00%	2031-02-01	90.3	11.91%	714
21873SAG3	9.75%	2031-10-01	89.8	12.54%	776
21873SAK4	9.63%	2032-07-15	88.8	12.36%	755

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $85bn (shares $55bn plus net debt): 22.6x EBITDA; debt is 42% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (21873SAG3, 9.75% due 2031-10-01, price 89.79 plus 4.51 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 63% of the price paid.

Measure	Value
Expected return above cash, bp a year	+1,522
Chance of a loss over six months	3.5%
Chance of doing worse than cash	3.5%
Average loss in the worst 5% of outcomes	22.8%
Total hedged return: Treasury and DTS beta x HY index hedged out, bp a year	+631
Hedge ratio on the HY index (DTS beta)	4.74
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	-1,116

Catalysts inside the horizon: Next quarterly results (estimated from filing cadence) (2026-11-11); Debt due by 0.5 years out

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: supports owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +654 bp a year before trading costs (costs are 149 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 1 of the issuers on this group alone. Gate: watch.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	+575	48%	+277	Spec S14 E0; K15
Weighted cases and stories	+740	29%	+213	M5.4, M7.5
Spread against the fair line	+669	4%	+26	M7.4, M7.5
The pair	+1,950	10%	+188	M7.4; F10 S4
Health panel	-512	10%	-49	F8

G2.1 The two clocks: bills against what pays for them

Verdict: against owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is -537 bp a year before trading costs (costs are 149 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 8 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	-537	100%	-537	M4.7

Fixed bills total $106.4bn, centred 5.5 years out: leases in force $29.4bn, signed leases not yet started $35.5bn, debt principal $35.6bn, interest $4.7bn, purchase commitments $1.2bn. That is 18.2 years of today's EBITDAR; next year's bills take 206% of it.

Measure	Value
Signed contracts (RPO)	$103.7bn
Where bills centre / where contract cash centres	year 5.5 / year 2.6
Contracts 99% booked by	year 7
Margin needed for contracts to pay every bill	over 100% (no margin is enough)
Company margin (EBITDAR)	77%
Share of bills paid by contracts at that margin	75%
Bills due after the contracts end	$32.6bn (31%)
of which debt to refinance	$0.0bn (0%)
of which rent and purchases to recontract	$32.6bn (31%)
Revenue to sign after the contracts end	4.1 years of today's revenue
Largest running shortfall	$26.7bn
Top three customers	72%
Top customer stops paying	contracts pay 48%; shortfall $55.4bn
With excluded lease	contracts pay 66%; shortfall $41.4bn
Share paid by contracts at a 0.20 margin	20%
Share paid by contracts at a 0.35 margin	34%
Share paid by contracts at a 0.50 margin	49%
Share paid by contracts at a 0.77 margin	75%

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	8.0%	5.6x	8.0x	$5.6bn	no	no
down moderate	11%	8.4%	6.6x	8.6x	$4.8bn	no	no
down severe	4%	8.3%	9.3x	9.3x	$2.1bn	no	no
upside	21%	8.3%	4.9x	7.4x	$6.5bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	5.7x	9.3x	0%	3.0%	711
recession	2%	6.0x	9.9x	100%	7.5%	1,860
higher for longer	8%	5.8x	9.3x	0%	3.5%	844
disinflation rally	4%	5.7x	9.3x	0%	2.3%	552
stagflation	0%	6.1x	9.9x	100%	7.7%	1,893

G2.3 Relative value and the pair

Fair spread: median 5-year spread of sector x rating x maturity peers on the TRACE panel. 5-year spread 739 bp against a fair 416 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Information Technology. Rating class: CCC (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	+78%	+190%
Sector only	+447%	+57%
Rating only	+176%	+153%

SPiDER: No SPiDER: fewer than 6 annual EBITDA figures, a financial issuer, or non-positive sustainable EBITDA. **OneScore** (Dynkin et al. 2021, ch. 19): 64% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 92%) and the stock's 3-month return (-22.5%, rank 35%). It enters the score as E16 at 4.5%. **Against ORCL.** Spreads at 5 years: CRWV 739 bp, ORCL 136 bp.

Spread per	CRWV	ORCL	Cheaper
turn of leverage	83	32	CRWV
year of EBITDA that depends on renewal	85	23	CRWV
unit of breakeven margin	721	165	CRWV
year of clock gap	257	28	CRWV

The fair line favours long CRWV, short ORCL: a gap of 400 bp, which halves in about 17 weeks on six months of trades. Under the stories the pair earns soft landing +794, recession +2075, higher for longer +942, disinflation rally +616, stagflation +2112 bp a year; weighted +826 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 740 bp a year before trading costs, 590 bp after. It beats costs. The expected default loss is charged on the price paid: 63% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	6.0%	3.1%	-2.9%	open	not tested
Breakeven default probability, 12 months (loss on price)	11.7%	3.1%	-8.6%	5.9%	yes
Spread against fair, sector peers (bp)	739	416	-323	576	no
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Earnings after capital spending do not cover interest. Tracked by: coverage (-12.79). Resolves when: capital spending falls, or earnings rise.
- Earnings do not cover interest plus rent. Tracked by: fixed-charge cover (0.54). Resolves when: earnings rise or rent falls.
- Little of the earnings turns into free cash. Tracked by: cash conversion (fcf / ebitda) (-3.63). Resolves when: growth spending ends.
- Free cash flow repays little debt. Tracked by: free cash flow / debt (-0.38). Resolves when: free cash flow turns positive.

- Margins are falling. Tracked by: margin trend (t-statistic) (-1.61). Resolves when: two quarters of stable margins.

Measure	Value	Band
Coverage	-12.79	red
Fixed-charge cover	0.54	red
Cash conversion (FCF / EBITDA)	-3.63	red
Free cash flow / debt	-0.38	red
Margin trend (t-statistic)	-1.61	red
Cash to meet debt due in 1 year (base case)	1.29	amber
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	2.00	amber
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.04	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: against owning. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is -374 bp a year before trading costs (costs are 149 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 6 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: watchlist.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	-374	100%	-374	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $3.7bn. The company's own measure adds back $0.0bn of one-off items to reach $3.8bn: 0.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $-13.7bn. The two roads to free cash flow (the EBITDA bridge, $-16.3bn; operating cash flow less capital spending, $-13.7bn) differ by 71% of EBITDA: above the 10% tolerance, so an earnings-quality flag is raised. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **watchlist** because free cash flow is negative. EBITDA against the same months a year earlier: 100.8% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	112.3%
EBITDA	improving	trend	121.2%
EBITDA margin	improving	data point	4.2%
cash conversion	open	no data	n/a

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	open
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: supports owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is +362 bp a year before trading costs (costs are 149 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 1 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+427	18%	+76	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+0	18%	+0	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	+540	32%	+174	Dynkin et al. ch. 13
OneScore: sector ranks of ESP and 3-month stock return	+350	32%	+112	Dynkin et al. ch. 19

No estimate (data missing): spider: spread per unit of debt to 10-year ebitda.

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$3.8bn
less capital spending	$20.6bn
less cash interest	$1.3bn
less cash taxes	$0.0bn
less increase in working capital	$-1.8bn
Free cash flow	**$-16.3bn**
Check: free cash flow before capital spending less operating cash flow	$-2.7bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	2.9x	Debt / EBITDA	8.9x
(EBITDA − capex) / interest	-12.8x	Net debt / EBITDA	7.7x
(EBITDA − maintenance capex) / interest	-0.2x	Free cash flow / debt	-38.0%
EBITDA / debt (highest rate at 1x cover)	11.0%	Market value / EBITDA	22.2x
Equity cushion (1 − debt / market value)	57%	Spread per turn of leverage	83 bp

Kricheff's snapshot rule: operating cash flow does not cover capital spending, so the issuer lives on the capital markets and needs the detailed liquidity work of section G1.4. Spread per turn compares the bond with the run's median of 34 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	49%	5.9	57.5%	78.5%
Funds from operations / debt	10%	9.6	19.5%	10.8%
Free operating cash flow / debt	-26%	10.0	8.5%	2.5%
EBITDA / interest (with lease interest)	1.8x	9.5	3.2x	1.8x
EBITDA margin	50%	3.0		

Financial risk score 8.1. Business risk score 5.8: industry 5, steadiness of sales 5 (year-on-year growth varies by 11.2%), customer spread 8. The book puts 45% of the weight on business risk for this class, so the default risk score is 7.0: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

G5. Macro link: the issuer's downside risk in this economy

Coming events, open questions, and the record

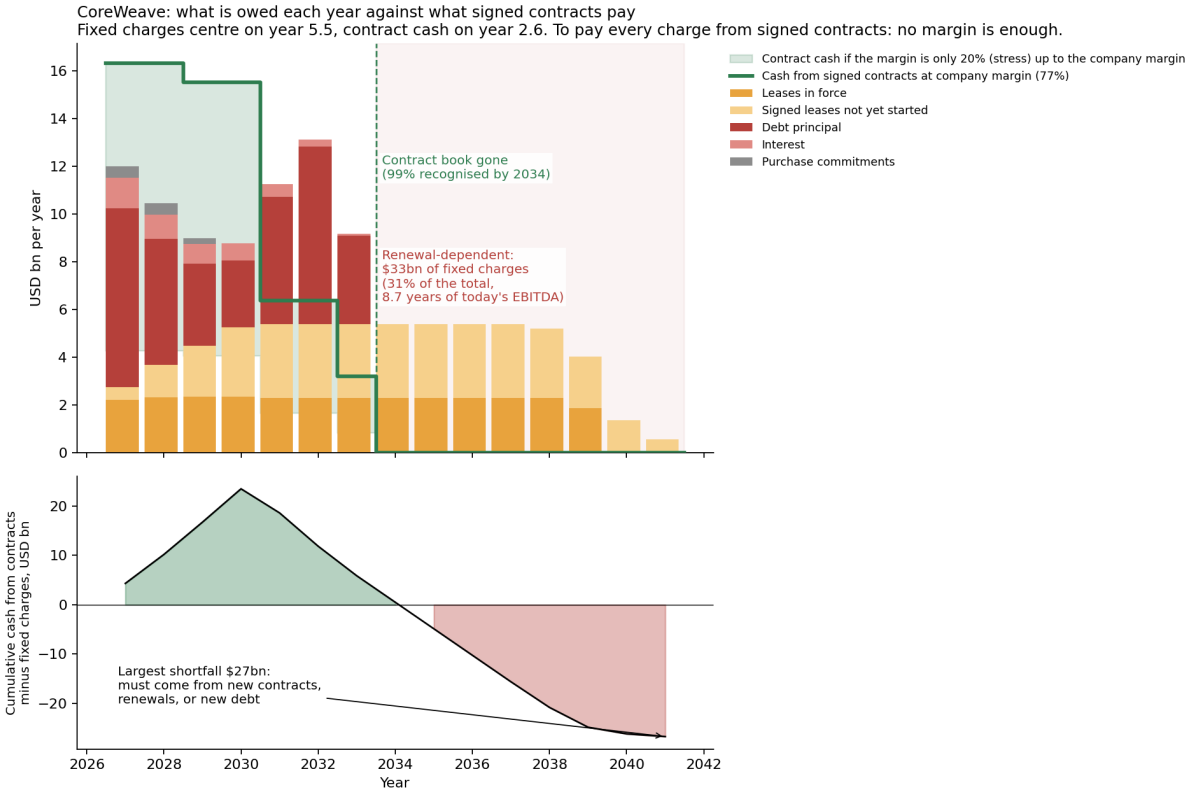
- Next quarterly results (estimated from filing cadence): 2026-11-11 (estimate).
- Debt due by 0.5 years out: - $4.4bn.

Open questions, most important first:

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).

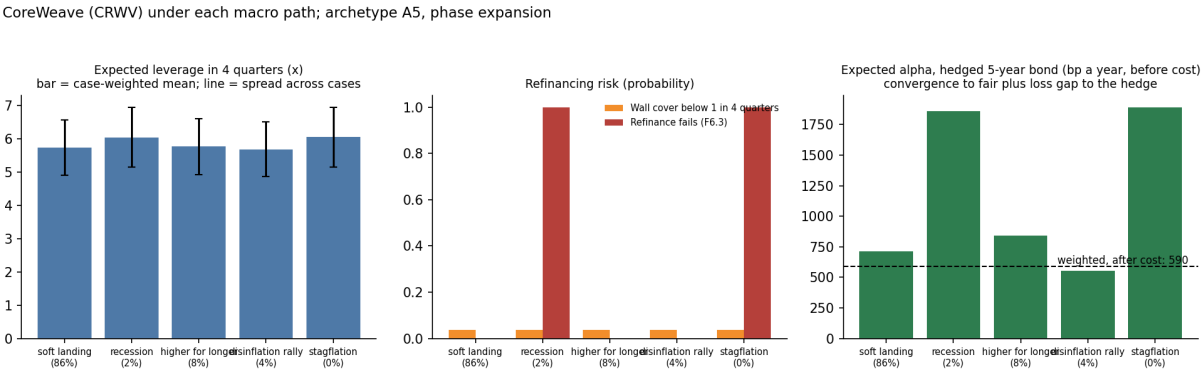
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. The funding gap opens only because no revolver capacity is tagged: read the credit facility note before using the gap.
7. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
8. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
9. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
10. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



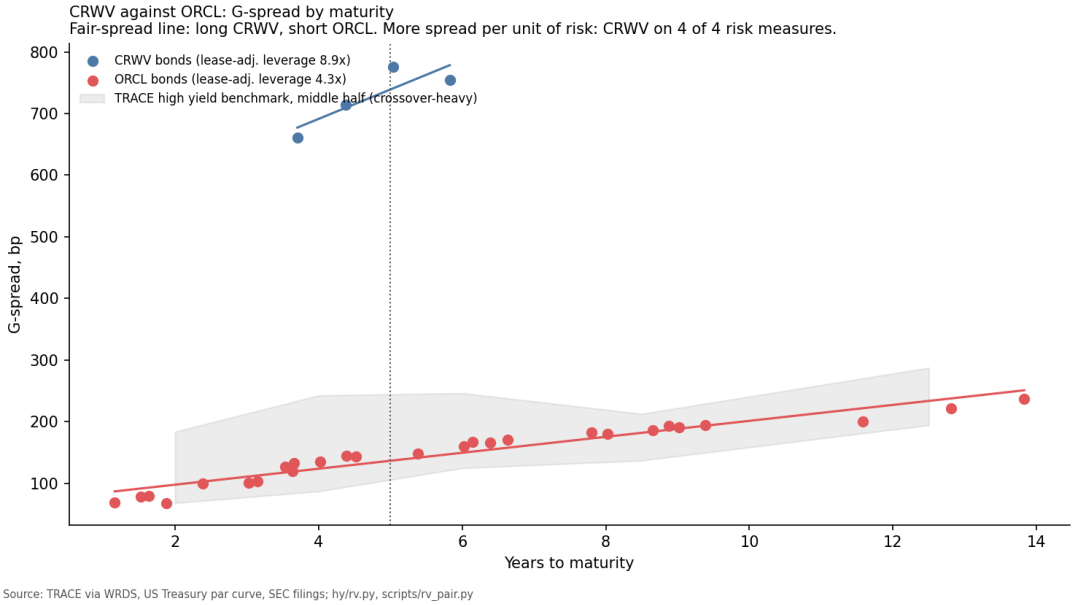
Source: CoreWeave SEC filings as of 2026-06-30 (XBRL), hy/clocks.py. Assumptions listed in the write-up.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Oracle (ORCL)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs; the checks point in different directions. If the money went elsewhere, the best alternative in this run is CRWV. Position size and hedge: open until the call passes.

The combined view: five groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the groups. It ranks 8 of the issuers in this run. 4 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+105	40%	+42	leans to owning
G2 clocks. Two clocks	-274	20%	-55	against owning
G2 rest. Built methods (rest)	-250	18%	-45	against owning
G3. Credit skills	-374	5%	-19	against owning
G4. Books and peers	-47	17%	-8	against owning
Combined, before trading costs			**-84**	
Trading costs			-173	
Combined, after trading costs			**-258**	
Weighted cases and stories alone, after costs			-260	
Sized for a position (rank only, minimum size)			none	

Against the weighted cases and stories alone, the combination is 2 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 40%, two clocks 20%, built methods (rest) 18%, credit skills 5%, books and peers 17%. The macro link has no weight until its tests pass. The backtest alone would have put most weight on the built methods.

Position size. This number ranks the bond but does not size it. Source: linear size map fitted 2026-08-01 on 217 months, peer carry net, h = 6 months (decision page 2026-10-23-size-calibration). Fitted on past outcomes, every bond maps to about -108 bp a year: the average return of the sample against the index, not a view on this bond. The backtest ranks bonds well but overstates the size of the move; the size calibration refits that link each month from finished outcomes. Decision page: 2026-10-23-size-calibration.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +105 bp a year before trading costs (costs are 173 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 2 of the issuers on this group alone. Best alternative for the same money: CRWV.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-6	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	-290	25%	-72	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+166	25%	+42	F4; RV PDF E75-E76
Debt against market value	+516	25%	+129	F7.7
Return above cash, repriced in every story	+29	25%	+7	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 136 bp over Treasuries at 5 years. Bonds of the same sector, rating and maturity pay 168 bp, so the bond is expensive by 31 bp. The high yield index pays 164 bp. The bills outlast the signed contracts (section G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** Oracle provides products and services that build, run and support enterprise information technology (IT) frameworks. Our products and services include enterprise applications and infrastructure offerings that incorporate and are enhanced by artificial intelligence (AI) technologies, including embedded AI-driven automation and analytics and generative AI capabilities.
2. **How it earns:** revenue 71.8bn a year at a 47% EBITDA margin.
3. **What it must spend to stand still:** rent of about $5.5bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** net retention and bookings fall; cost cuts reverse.

Business type: A6.

G1.3 Earnings, normalised

Last 12 months: EBITDA $33.9bn at a 47% margin; margin trend over 8 quarters 3.8 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.6bn. Free cash flow $-28.7bn: -85% of EBITDA. Earnings-quality flags raised: EQ7 conversion, EQ5 recurrence, FCF check (waterfall against OCF less capex) (of 5 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$37.0bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.4bn
Liquidity	$36.6bn
Runway at today's cash burn, all capital spending (quarters)	5.1
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	2
Runway we quote (the shortest)	**2.0** (severe, committed capex)
Debt due in the next 18 months	$7.2bn
Cash to meet debt due in a year, base case	7.34x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($3.2bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$37.2bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$-148.8bn
First quarter below zero with all capital spending	quarter 2
Lowest point, severe case	$35.1bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$37.2bn
Debt due inside 8 quarters, share of all debt	14%

Refinancing shock. $17.4bn falls due in the next two years. It pays about 3.71% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.5bn (1.4% of EBITDA). Interest cover after refinancing: 6.1x; after capital spending -7.5x. Free cash flow after the shock: -23.3% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$125.3bn
Lease liabilities	$43.8bn
EBITDA, last 12 months	$33.9bn
Debt / EBITDA	3.7x
(Debt + leases) / (EBITDA + rent)	4.3x
Net debt / EBITDA	2.6x
Coverage (after all capital spending)	-8.2x
Fixed-charge cover (after maintenance spending)	2.75x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
68389XBN4	3.25%	2027-11-15	97.9	5.13%	69
68389XCD5	2.30%	2028-03-25	95.6	5.32%	78
68389XCM5	4.50%	2028-05-06	98.6	5.37%	80
68389XCY9	4.80%	2028-08-03	99.1	5.32%	68
68389XDW2	4.55%	2029-02-04	97.5	5.69%	99
68389XCS2	4.20%	2029-09-27	95.7	5.76%	101

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $540bn (shares $451bn plus net debt): 15.9x EBITDA; debt is 23% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (68389XCZ6, 5.25% due 2032-02-03, price 95.37 plus 0.63 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 64% of the price paid.

Measure	Value
Expected return above cash, bp a year	+29
Chance of a loss over six months	9.3%
Chance of doing worse than cash	9.3%
Average loss in the worst 5% of outcomes	9.8%
Total hedged return: Treasury and DTS beta x HY index hedged out, bp a year	-83
Hedge ratio on the HY index (DTS beta)	0.91
Best alternative in this run (worst 5% loss within the 25% budget)	CRWV
Return given up against that alternative, bp a year	+1,494

Catalysts inside the horizon: Next quarterly results (estimated from filing cadence) (2026-12-12)

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -250 bp a year before trading costs (costs are 173 bp a year); 5 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 8 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-27	48%	-13	Spec S14 E0; K15
Weighted cases and stories	-86	29%	-25	M5.4, M7.5
Spread against the fair line	-75	4%	-3	M7.4, M7.5
The pair	-1,950	10%	-188	M7.4; F10 S4
Health panel	-226	10%	-22	F8

G2.1 The two clocks: bills against what pays for them

Verdict: against owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is -274 bp a year before trading costs (costs are 173 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 7 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	-274	100%	-274	M4.7

Fixed bills total $549.0bn, centred 8.2 years out: leases in force $63.2bn, signed leases not yet started $288.0bn, debt principal $130.1bn, interest $33.5bn, purchase commitments $34.1bn. That is 13.9 years of today's EBITDAR; next year's bills take 75% of it.

Measure	Value
Signed contracts (RPO)	$664.0bn
Where bills centre / where contract cash centres	year 8.2 / year 3.4
Contracts 99% booked by	year 10
Margin needed for contracts to pay every bill	83%
Company margin (EBITDAR)	55%
Share of bills paid by contracts at that margin	66%
Bills due after the contracts end	$203.8bn (37%)
of which debt to refinance	$46.4bn (8%)
of which rent and purchases to recontract	$157.4bn (29%)
Revenue to sign after the contracts end	4.8 years of today's revenue
Largest running shortfall	$184.8bn
Top three customers	n/a
Share paid by contracts at a 0.20 margin	24%
Share paid by contracts at a 0.35 margin	42%
Share paid by contracts at a 0.50 margin	60%
Share paid by contracts at a 0.55 margin	67%

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	60%	5.0%	3.0x	3.5x	$40.4bn	no	no
down moderate	15%	3.3%	3.2x	3.5x	$40.6bn	no	no
down severe	5%	2.3%	4.3x	4.3x	$39.1bn	no	no
upside	20%	6.6%	2.8x	3.4x	$40.3bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	3.1x	4.3x	0%	1.2%	-83
recession	2%	3.2x	4.4x	0%	3.1%	-215
higher for longer	8%	3.1x	4.3x	0%	1.4%	-98
disinflation rally	4%	3.1x	4.2x	0%	0.9%	-64
stagflation	0%	3.2x	4.4x	0%	3.2%	-219

G2.3 Relative value and the pair

Fair spread: median 5-year spread of sector x rating x maturity peers on the TRACE panel. 5-year spread 136 bp against a fair 168 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Information Technology. Rating class: B (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-19%	-27%
Sector only	-3%	-40%
Rating only	-19%	-27%

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 22% of the peer bonds across all sectors, and -32% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 40% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 65%) and the stock's 3-month return (-33.7%, rank 15%). It enters the score as E16 at 4.5%. **Against CRWV.** Spreads at 5 years: CRWV 739 bp, ORCL 136 bp.

Spread per	CRWV	ORCL	Cheaper
turn of leverage	83	32	CRWV
year of EBITDA that depends on renewal	85	23	CRWV
unit of breakeven margin	721	165	CRWV
year of clock gap	257	28	CRWV

The fair line favours long CRWV, short ORCL: a gap of 400 bp, which halves in about 17 weeks on six months of trades. Under the stories the pair earns soft landing +794, recession +2075, higher for longer +942, disinflation rally +616, stagflation +2112 bp a year; weighted +826 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -86 bp a year before trading costs, -260 bp after. It does not beat costs. The expected default loss is charged on the price paid: 64% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.1%	1.3%	0.1%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.1%	1.3%	-0.9%	1.1%	no
Spread against fair, sector peers (bp)	136	168	31	86	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Earnings after capital spending do not cover interest. Tracked by: coverage (-8.19). Resolves when: capital spending falls, or earnings rise.
- Little of the earnings turns into free cash. Tracked by: cash conversion (fcf / ebitda) (-0.85). Resolves when: growth spending ends.

- Free cash flow repays little debt. Tracked by: free cash flow / debt (-0.23). Resolves when: free cash flow turns positive.
- Earnings-quality flags are raised. Tracked by: earnings-quality flags (3.00). Resolves when: flags clear in the next two quarters.

Measure	Value	Band
Coverage	-8.19	red
Cash conversion (FCF / EBITDA)	-0.85	red
Free cash flow / debt	-0.23	red
Earnings-quality flags	3.00	red
Refinancing access score (0 to 6)	3.00	amber
Fixed-charge cover	2.75	green
Cash to meet debt due in 1 year (base case)	7.34	green
Margin trend (t-statistic)	3.77	green
Weight on the downside cases	0.20	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: against owning. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is -374 bp a year before trading costs (costs are 173 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 6 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: watchlist.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	-374	100%	-374	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $33.3bn. The company's own measure adds back $0.6bn of one-off items to reach $33.9bn: 1.7% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $-29.3bn. The two roads to free cash flow (the EBITDA bridge, $-49.4bn; operating cash flow less capital spending, $-28.7bn) differ by 61% of EBITDA: above the 10% tolerance, so an earnings-quality flag is raised. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **watchlist** because free cash flow is negative. EBITDA against the same months a year earlier: 38.3% (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	29.6%
EBITDA	improving	trend	53.1%
EBITDA margin	improving	trend	18.1%
cash conversion	deteriorating	observation	-873.5%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is -47 bp a year before trading costs (costs are 173 bp a year); 3 of 5 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 5 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	-55	15%	-8	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+0	15%	+0	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-69	26%	-18	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	+81	18%	+14	Dynkin et al. ch. 14
OneScore: sector ranks of ESP and 3-month stock return	-134	26%	-35	Dynkin et al. ch. 19

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$33.9bn
less capital spending	$75.7bn
less cash interest	$5.1bn
less cash taxes	$2.8bn
less increase in working capital	$-0.3bn
Free cash flow	**$-49.4bn**
Check: free cash flow before capital spending less operating cash flow	$-20.7bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	6.6x	Debt / EBITDA	4.3x
(EBITDA − capex) / interest	-8.2x	Net debt / EBITDA	3.4x
(EBITDA − maintenance capex) / interest	4.6x	Free cash flow / debt	-23.0%
EBITDA / debt (highest rate at 1x cover)	27.0%	Market value / EBITDA	15.9x
Equity cushion (1 − debt / market value)	77%	Spread per turn of leverage	32 bp

Kricheff's snapshot rule: operating cash flow does not cover capital spending, so the issuer lives on the capital markets and needs the detailed liquidity work of section G1.4. Spread per turn compares the bond with the run's median of 34 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	27%	1.2	57.5%	78.5%
Funds from operations / debt	28%	6.1	19.5%	10.8%
Free operating cash flow / debt	-17%	10.0	8.5%	2.5%
EBITDA / interest (with lease interest)	4.0x	6.8	3.2x	1.8x
EBITDA margin	47%	3.0		

Financial risk score 5.9. Business risk score 5.0: industry 5, steadiness of sales 5 (year-on-year growth varies by 7.8%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 5.5: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

G5. Macro link: the issuer's downside risk in this economy

Coming events, open questions, and the record

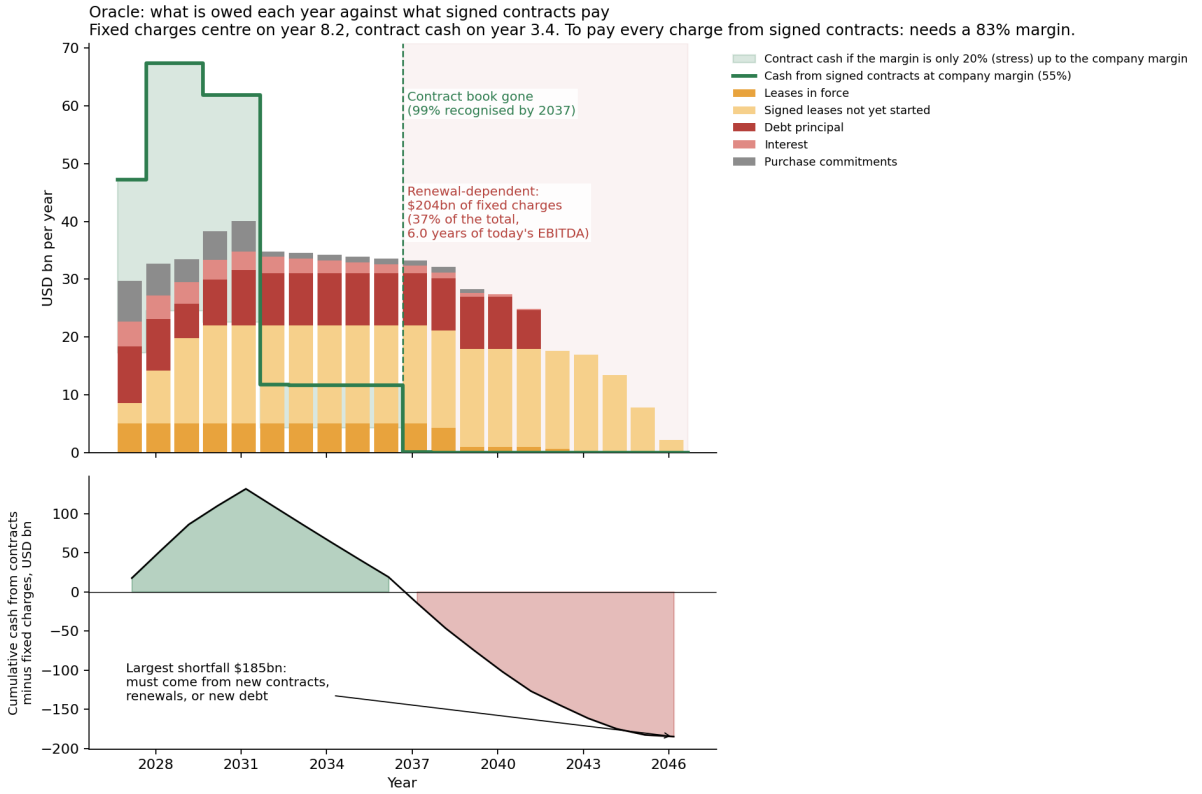
- Next quarterly results (estimated from filing cadence): 2026-12-12 (estimate).
- Debt due by 1.0 years out: - $7.2bn.

Open questions, most important first:

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).

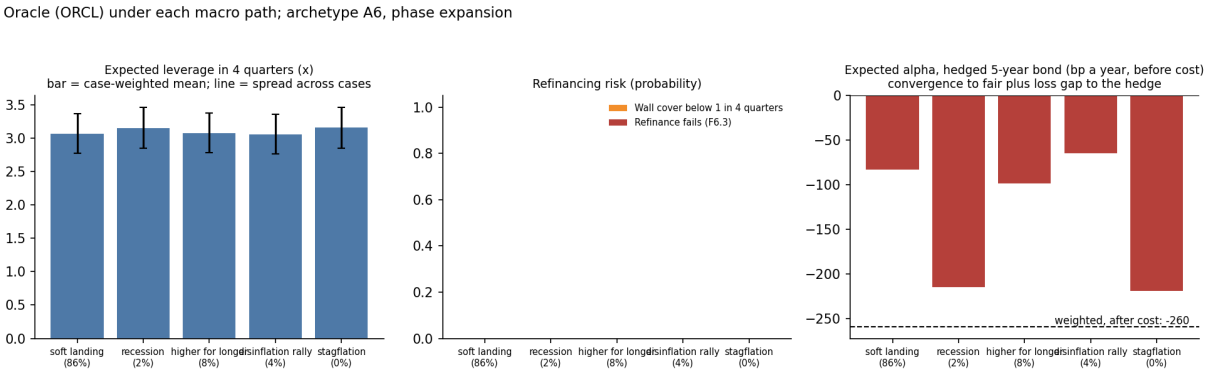
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



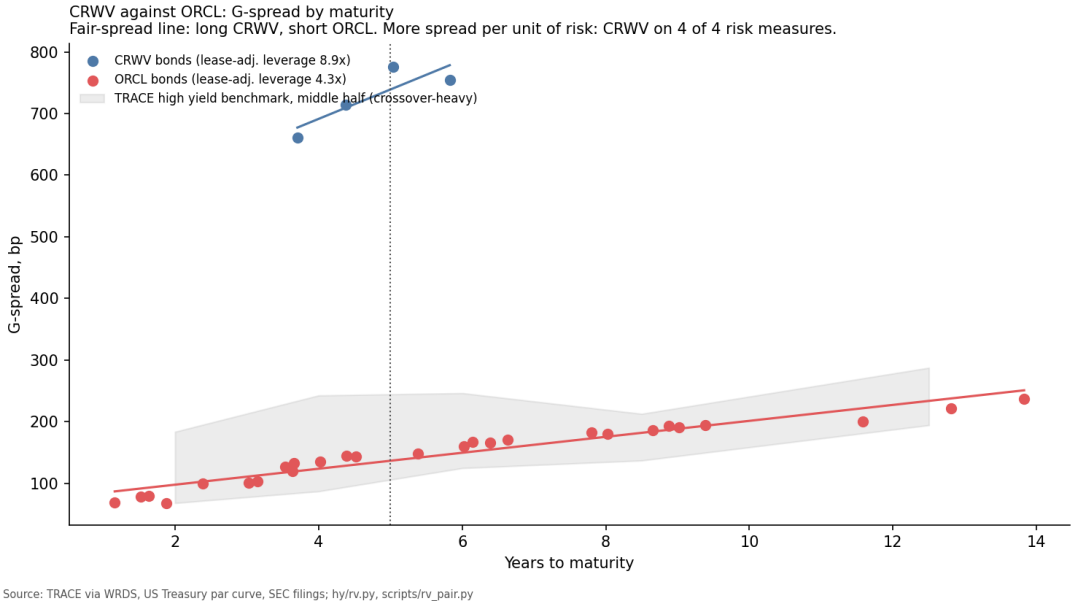
Source: Oracle SEC filings as of 2026-08-31 (XBRL), hy/clocks.py. Assumptions listed in the write-up.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

HCA Healthcare (HCA)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is CRWV. Position size and hedge: open until the call passes.

The combined view: five groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the groups. It ranks 4 of the issuers in this run. 2 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+52	40%	+21	leans to owning
G2 clocks. Two clocks	+343	20%	+69	supports owning
G2 rest. Built methods (rest)	-123	18%	-22	against owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	-269	17%	-46	against owning
Combined, before trading costs			**+22**	
Trading costs			-176	
Combined, after trading costs			**-155**	
Weighted cases and stories alone, after costs			-382	
Sized for a position (rank only, minimum size)			none	

Against the weighted cases and stories alone, the combination is 227 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 40%, two clocks 20%, built methods (rest) 18%, credit skills 5%, books and peers 17%. The macro link has no weight until its tests pass. The backtest alone would have put most weight on the built methods.

Position size. This number ranks the bond but does not size it. Source: linear size map fitted 2026-08-01 on 217 months, peer carry net, h = 6 months (decision page 2026-10-23-size-calibration). Fitted on past outcomes, every bond maps to about -108 bp a year: the average return of the sample against the index, not a view on this bond. The backtest ranks bonds well but overstates the size of the move; the size calibration refits that link each month from finished outcomes. Decision page: 2026-10-23-size-calibration.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +52 bp a year before trading costs (costs are 176 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 4 of the issuers on this group alone. Best alternative for the same money: CRWV.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-32	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+166	25%	+42	F4; RV PDF E75-E76
Debt against market value	+216	25%	+54	F7.7
Return above cash, repriced in every story	-173	25%	-43	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 68 bp over Treasuries at 5 years. Bonds of the same sector, rating and maturity pay 144 bp, so the bond is expensive by 75 bp. The high yield index pays 164 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** HCA Healthcare, Inc. is one of the leading health care services companies in the United States. At December 31, 2025, we operated 190 hospitals, comprised of 179 general acute care hospitals, seven behavioral hospitals, and four rehabilitation hospitals.
2. **How it earns:** revenue 76.4bn a year at a 20% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** a reimbursement rule change, bad debt, or labour cost inflation.

Business type: A2.

G1.3 Earnings, normalised

Last 12 months: EBITDA $15.6bn at a 20% margin; margin trend over 8 quarters 1.3 (t-statistic: above 1 rising, below −1 falling). One-off items $0.0bn. Free cash flow $7.9bn: 51% of EBITDA. Earnings-quality flags raised: none (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$1.1bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.4bn
Liquidity	$0.7bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$2.5bn
Cash to meet debt due in a year, base case	3.27x
Refinancing access score, likely story (0 to 6)	4

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($5.1bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$-2.4bn
First quarter below zero, likely story	quarter 1
Lowest point with all capital spending	$-2.6bn
First quarter below zero with all capital spending	quarter 1
Lowest point, severe case	$-4.5bn
Severe case with all capital spending: first quarter below zero	quarter 1
Lowest point, weighted over the stories	$-2.4bn
Debt due inside 8 quarters, share of all debt	14%

Refinancing shock. $6.2bn falls due in the next two years. It pays about 5.72% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.0bn (0.0% of EBITDA). Interest cover after refinancing: 7.0x; after capital spending 4.7x. Free cash flow after the shock: 17.3% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$45.8bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$15.6bn
Debt / EBITDA	2.9x
(Debt + leases) / (EBITDA + rent)	2.9x
Net debt / EBITDA	2.9x
Coverage (after all capital spending)	4.7x
Fixed-charge cover (after maintenance spending)	5.38x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
197677AJ6	7.05%	2027-12-01	102.3	5.09%	63
404119CY3	5.00%	2028-03-01	100.0	4.97%	45
404119CP2	5.20%	2028-06-01	100.2	5.07%	48
404121AJ4	5.63%	2028-09-01	100.8	5.02%	36
404119BW8	5.87%	2029-02-01	101.3	5.14%	44
404119CJ6	3.38%	2029-03-15	96.1	5.06%	35

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $130bn (shares $85bn plus net debt): 8.3x EBITDA; debt is 35% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (404119DJ5, 4.70% due 2031-05-15, price 96.93 plus 1.61 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 65% of the price paid.

Measure	Value
Expected return above cash, bp a year	-173
Chance of a loss over six months	8.9%
Chance of doing worse than cash	94.6%
Average loss in the worst 5% of outcomes	9.1%
Total hedged return: Treasury and DTS beta x HY index hedged out, bp a year	-179
Hedge ratio on the HY index (DTS beta)	0.41
Best alternative in this run (worst 5% loss within the 25% budget)	CRWV
Return given up against that alternative, bp a year	+1,696

Catalysts inside the horizon: Next quarterly results (estimated from filing cadence) (2026-10-27)

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -123 bp a year before trading costs (costs are 176 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 7 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-95	48%	-46	Spec S14 E0; K15
Weighted cases and stories	-205	29%	-59	M5.4, M7.5
Spread against the fair line	-185	4%	-7	M7.4, M7.5
The pair	-461	10%	-44	M7.4; F10 S4
Health panel	+347	10%	+33	F8

G2.1 The two clocks: bills against what pays for them

Verdict: supports owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +343 bp a year before trading costs (costs are 176 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 1 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+343	100%	+343	M4.7

Fixed bills total $59.2bn, centred 4.4 years out: leases in force $3.2bn, debt principal $45.8bn, interest $10.2bn. That is 3.8 years of today's EBITDAR; next year's bills take 44% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.6%	2.8x	2.9x	$2.8bn	no	no
down moderate	11%	0.7%	2.9x	2.9x	$2.9bn	no	no
down severe	4%	0.3%	3.9x	3.9x	$0.6bn	no	no
upside	21%	2.5%	2.7x	2.9x	$2.7bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	2.8x	3.9x	0%	1.0%	-197
recession	2%	2.9x	4.0x	0%	2.7%	-514
higher for longer	8%	2.8x	3.9x	0%	1.2%	-234
disinflation rally	4%	2.8x	3.9x	0%	0.8%	-153
stagflation	0%	2.9x	4.0x	0%	2.7%	-523

G2.3 Relative value and the pair

Fair spread: median 5-year spread of sector x rating x maturity peers on the TRACE panel. 5-year spread 68 bp against a fair 144 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Health Care. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-52%	-52%
Sector only	-86%	-74%
Rating only	-52%	-52%

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 18% of the peer bonds across all sectors, and -58% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al.

2021, ch. 19): 30% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 7%) and the stock's 3-month return (9.7%, rank 53%). It enters the score as E16 at 4.5%. **Against THC.** Spreads at 5 years: HCA 68 bp, THC 123 bp.

Spread per	HCA	THC	Cheaper
turn of leverage	23	40	THC

The fair line favours long THC, short HCA: a gap of 55 bp, which halves in about 5 weeks on six months of trades. Under the stories the pair earns soft landing +138, recession +359, higher for longer +163, disinflation rally +107, stagflation +365 bp a year; weighted +143 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -205 bp a year before trading costs, -382 bp after. It does not beat costs. The expected default loss is charged on the price paid: 65% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	0.6%	1.1%	0.5%	open	not tested
Breakeven default probability, 12 months (loss on price)	1.1%	1.1%	0.0%	0.5%	no
Spread against fair, sector peers (bp)	68	144	75	77	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Refinancing access score (0 to 6)	4.00	amber
Coverage	4.72	green
Fixed-charge cover	5.38	green
Cash conversion (FCF / EBITDA)	0.51	green
Free cash flow / debt	0.17	green
Cash to meet debt due in 1 year (base case)	3.27	green
Earnings-quality flags	0.00	green
Margin trend (t-statistic)	1.31	green
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 176 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $15.6bn. The company's own measure adds back $0.0bn of one-off items to reach $15.6bn: 0.0% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $7.9bn. The two roads to free cash flow (the EBITDA bridge, $6.8bn; operating cash flow less capital spending, $7.9bn) differ by 7% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: 11.4% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	4.3%
EBITDA	improving	trend	2.1%
EBITDA margin	deteriorating	observation	-2.1%
cash conversion	improving	observation	32.8%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	open
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)

- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is -269 bp a year before trading costs (costs are 176 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 8 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+39	15%	+6	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	-324	15%	-48	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-488	26%	-129	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-33	18%	-6	Dynkin et al. ch. 14
OneScore: sector ranks of ESP and 3-month stock return	-347	26%	-92	Dynkin et al. ch. 19

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$15.6bn
less capital spending	$5.1bn
less cash interest	$2.2bn
less cash taxes	$1.7bn
less increase in working capital	$-0.2bn
Free cash flow	**$6.8bn**
Check: free cash flow before capital spending less operating cash flow	$-1.1bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	7.0x	Debt / EBITDA	2.9x
(EBITDA − capex) / interest	4.7x	Net debt / EBITDA	2.9x
(EBITDA − maintenance capex) / interest	5.4x	Free cash flow / debt	17.0%
EBITDA / debt (highest rate at 1x cover)	34.0%	Market value / EBITDA	8.3x
Equity cushion (1 − debt / market value)	65%	Spread per turn of leverage	23 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 34 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	35%	1.4	57.5%	78.5%
Funds from operations / debt	28%	6.0	19.5%	10.8%
Free operating cash flow / debt	17%	5.3	8.5%	2.5%
EBITDA / interest (with lease interest)	7.0x	4.8	3.2x	1.8x
EBITDA margin	20%	3.0		

Financial risk score 4.4. Business risk score 4.0: industry 4, steadiness of sales 3 (year-on-year growth varies by 2.1%), customer spread 5. The book puts 55% of the weight on business risk for this class, so the default risk score is 4.2: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

G5. Macro link: the issuer's downside risk in this economy

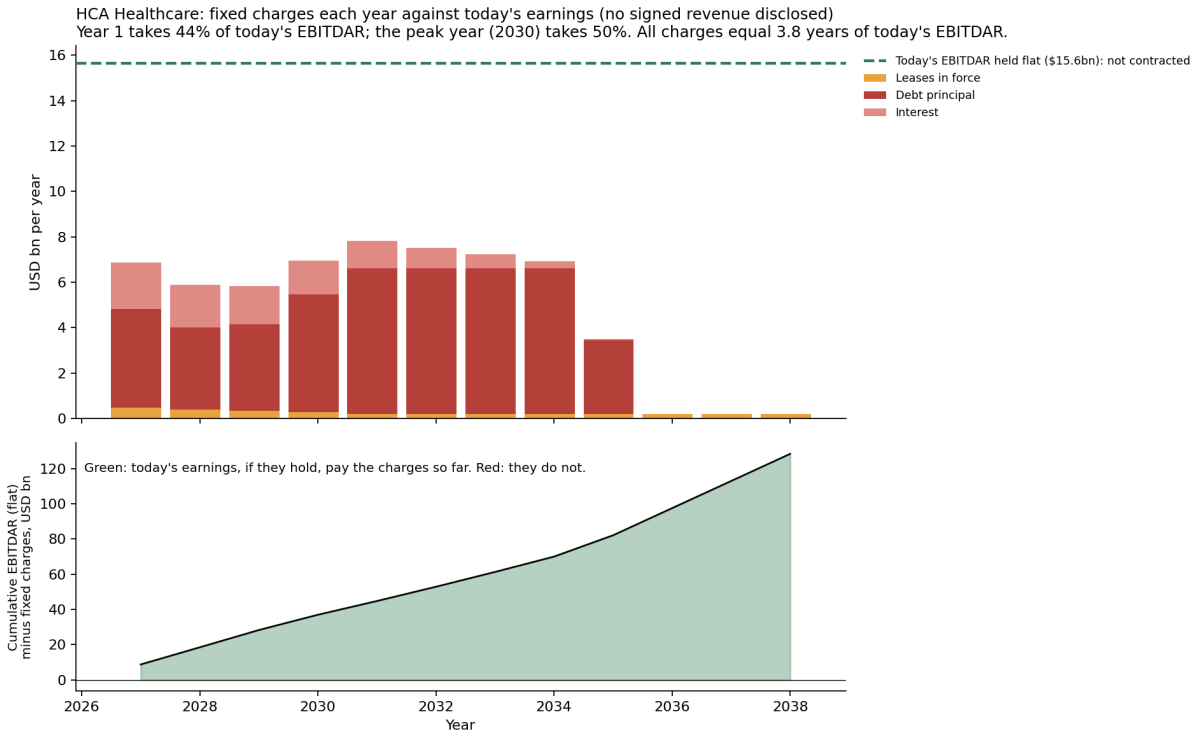
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-10-27 (estimate).
- Debt due by 1.0 years out: - $2.5bn.

Open questions, most important first:

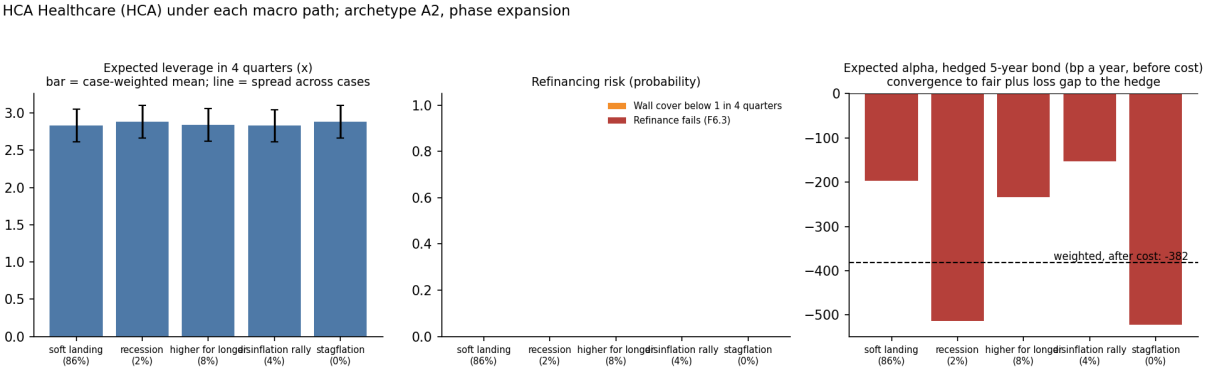
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. The funding gap opens only because no revolver capacity is tagged: read the credit facility note before using the gap.
7. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
8. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
9. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
10. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



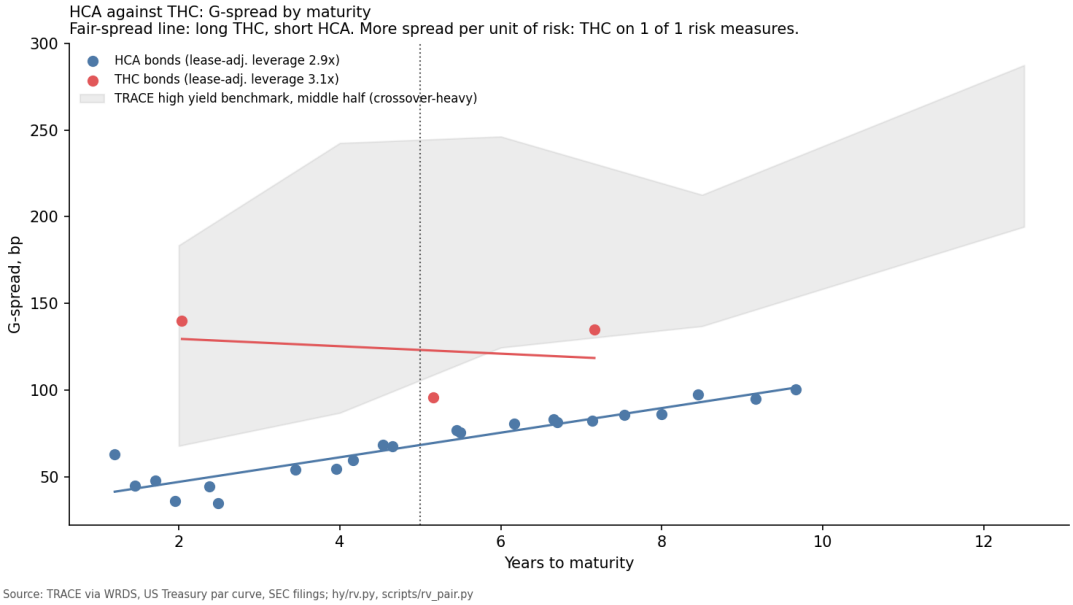
Source: HCA Healthcare SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Tenet Healthcare (THC)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs; the checks point in different directions. If the money went elsewhere, the best alternative in this run is CRWV. Position size and hedge: open until the call passes.

The combined view: five groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the groups. It ranks 2 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	-15	40%	-6	against owning
G2 clocks. Two clocks	+318	20%	+64	supports owning
G2 rest. Built methods (rest)	+32	18%	+6	leans to owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	+321	17%	+55	supports owning
Combined, before trading costs			**+118**	
Trading costs			-174	
Combined, after trading costs			**-56**	
Weighted cases and stories alone, after costs			-236	
Sized for a position (rank only, minimum size)			none	

Against the weighted cases and stories alone, the combination is 180 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 40%, two clocks 20%, built methods (rest) 18%, credit skills 5%, books and peers 17%. The macro link has no weight until its tests pass. The backtest alone would have put most weight on the built methods.

Position size. This number ranks the bond but does not size it. Source: linear size map fitted 2026-08-01 on 217 months, peer carry net, h = 6 months (decision page 2026-10-23-size-calibration). Fitted on past outcomes, every bond maps to about -108 bp a year: the average return of the sample against the index, not a view on this bond. The backtest ranks bonds well but overstates the size of the move; the size calibration refits that link each month from finished outcomes. Decision page: 2026-10-23-size-calibration.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: against owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is -15 bp a year before trading costs (costs are 174 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 6 of the issuers on this group alone. Best alternative for the same money: CRWV.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-7	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+166	25%	+42	F4; RV PDF E75-E76
Debt against market value	-184	25%	-46	F7.7
Return above cash, repriced in every story	-41	25%	-10	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 123 bp over Treasuries at 5 years. Bonds of the same sector, rating and maturity pay 144 bp, so the bond is expensive by 21 bp. The high yield index pays 164 bp. The bills outlast the signed contracts (section G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** Tenet Healthcare Corporation ("Tenet") is a diversified healthcare services company with its headquarters in Dallas, Texas, and a Global Business Center ("GBC") in the Philippines that supports various enterprise-wide administrative functions. We operate our expansive, nationwide care delivery network through direct and indirect subsidiaries, as well as downstream partnerships and joint ventures; the terms "we," "our" and "us," as used in this report and unless otherwise stated or indicated by t
2. **How it earns:** revenue 21.8bn a year at a 20% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** a reimbursement rule change, bad debt, or labour cost inflation.

Business type: A2.

G1.3 Earnings, normalised

Last 12 months: EBITDA $4.3bn at a 20% margin; margin trend over 8 quarters 1.4 (t-statistic: above 1 rising, below −1 falling). One-off items $0.4bn. Free cash flow $3.0bn: 71% of EBITDA. Earnings-quality flags raised: EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.2bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$2.1bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$0.1bn
Cash to meet debt due in a year, base case	55.10x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.1bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$2.6bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$2.6bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$2.5bn
Severe case with all capital spending: first quarter below zero	no gap in 8 quarters
Lowest point, weighted over the stories	$2.6bn
Debt due inside 8 quarters, share of all debt	13%

Refinancing shock. $1.7bn falls due in the next two years. It pays about 6.12% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.0bn (0.1% of EBITDA). Interest cover after refinancing: 5.1x; after capital spending 3.9x. Free cash flow after the shock: 22.8% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$13.2bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$4.3bn
Debt / EBITDA	3.1x
(Debt + leases) / (EBITDA + rent)	3.1x
Net debt / EBITDA	2.6x
Coverage (after all capital spending)	3.9x
Fixed-charge cover (after maintenance spending)	4.16x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
88033GDK3	6.12%	2028-10-01	100.1	6.07%	140
88033GAV2	6.88%	2031-11-15	105.0	5.75%	96
88033GDV9	6.00%	2033-11-15	98.8	6.21%	135

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $26bn (shares $15bn plus net debt): 6.1x EBITDA; debt is 51% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (88033GAV2, 6.88% due 2031-11-15, price 104.98 plus 2.33 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 68% of the price paid.

Measure	Value
Expected return above cash, bp a year	-41
Chance of a loss over six months	8.9%
Chance of doing worse than cash	9.2%
Average loss in the worst 5% of outcomes	8.9%
Total hedged return: Treasury and DTS beta x HY index hedged out, bp a year	-79
Hedge ratio on the HY index (DTS beta)	0.59
Best alternative in this run (worst 5% loss within the 25% budget)	CRWV
Return given up against that alternative, bp a year	+1,562

Catalysts inside the horizon: Next quarterly results (estimated from filing cadence) (2026-10-28)

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: leans to owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +32 bp a year before trading costs (costs are 174 bp a year); 2 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 3 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-40	48%	-19	Spec S14 E0; K15
Weighted cases and stories	-62	29%	-18	M5.4, M7.5
Spread against the fair line	-50	4%	-2	M7.4, M7.5
The pair	+461	10%	+44	M7.4; F10 S4
Health panel	+276	10%	+26	F8

G2.1 The two clocks: bills against what pays for them

Verdict: supports owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +318 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 2 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+318	100%	+318	M4.7

Fixed bills total $17.7bn, centred 3.3 years out: leases in force $1.5bn, debt principal $13.3bn, interest $2.9bn. That is 4.2 years of today's EBITDAR; next year's bills take 46% of it.

Measure	Value
Signed contracts (RPO)	$1.7bn
Where bills centre / where contract cash centres	year 3.3 / year 1.0
Contracts 99% booked by	year 2
Margin needed for contracts to pay every bill	over 100% (no margin is enough)
Company margin (EBITDAR)	20%
Share of bills paid by contracts at that margin	2%
Bills due after the contracts end	$12.8bn (72%)
of which debt to refinance	$11.8bn (66%)
of which rent and purchases to recontract	$1.0bn (6%)
Revenue to sign after the contracts end	2.9 years of today's revenue
Largest running shortfall	$17.4bn
Top three customers	n/a
Share paid by contracts at a 0.20 margin	2%
Share paid by contracts at a 0.35 margin	3%
Share paid by contracts at a 0.50 margin	5%

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.3%	2.9x	3.1x	$2.7bn	no	no
down moderate	11%	0.4%	3.1x	3.1x	$2.7bn	no	no
down severe	4%	-0.1%	3.8x	4.0x	$2.6bn	no	no
upside	21%	2.1%	2.7x	3.0x	$2.7bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	2.9x	4.0x	0%	1.0%	-60
recession	2%	3.0x	4.2x	0%	2.7%	-155
higher for longer	8%	2.9x	4.0x	0%	1.2%	-71
disinflation rally	4%	2.9x	4.0x	0%	0.8%	-46
stagflation	0%	3.0x	4.2x	0%	2.7%	-157

G2.3 Relative value and the pair

Fair spread: median 5-year spread of sector x rating x maturity peers on the TRACE panel. 5-year spread 123 bp against a fair 144 bp. **Against peers.** Peers are the high yield bonds that traded in

2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Health Care. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-14%	-8%
Sector only	-74%	-50%
Rating only	-14%	-8%

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 41% of the peer bonds across all sectors, and -26% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 72% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 50%) and the stock's 3-month return (51.7%, rank 93%). It enters the score as E16 at 4.5%. **Against HCA.** Spreads at 5 years: HCA 68 bp, THC 123 bp.

Spread per	HCA	THC	Cheaper
turn of leverage	23	40	THC

The fair line favours long THC, short HCA: a gap of 55 bp, which halves in about 5 weeks on six months of trades. Under the stories the pair earns soft landing +138, recession +359, higher for longer +163, disinflation rally +107, stagflation +365 bp a year; weighted +143 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -62 bp a year before trading costs, -236 bp after. It does not beat costs. The expected default loss is charged on the price paid: 68% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.0%	1.1%	0.1%	open	not tested
Breakeven default probability, 12 months (loss on price)	1.8%	1.1%	-0.7%	0.9%	no
Spread against fair, sector peers (bp)	123	144	21	78	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	1.00	amber
Coverage	3.92	green
Fixed-charge cover	4.16	green
Cash conversion (FCF / EBITDA)	0.71	green
Free cash flow / debt	0.23	green
Cash to meet debt due in 1 year (base case)	55.10	green
Margin trend (t-statistic)	1.35	green
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $4.8bn. The company's own measure adds back $-0.4bn of one-off items to reach $4.3bn: -8.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is above the 5% line the lender's checklist sets for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $3.0bn. The two roads to free cash flow (the EBITDA bridge, $3.0bn; operating cash flow less capital spending, $3.0bn) differ by 1% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: n/a (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	6.8%
EBITDA	open	no data	n/a
EBITDA margin	open	no data	n/a
cash conversion	open	no data	n/a

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	open
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: supports owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is +321 bp a year before trading costs (costs are 174 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 2 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+230	15%	+34	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+346	15%	+51	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-29	26%	-8	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	+600	18%	+106	Dynkin et al. ch. 14
OneScore: sector ranks of ESP and 3-month stock return	+521	26%	+138	Dynkin et al. ch. 19

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$4.3bn
less capital spending	$1.0bn
less cash interest	$0.8bn
less cash taxes	$0.5bn
less increase in working capital	$-1.1bn
Free cash flow	**$3.0bn**
Check: free cash flow before capital spending less operating cash flow	$-0.0bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	5.1x	Debt / EBITDA	3.1x
(EBITDA − capex) / interest	3.9x	Net debt / EBITDA	2.6x
(EBITDA − maintenance capex) / interest	4.2x	Free cash flow / debt	23.0%
EBITDA / debt (highest rate at 1x cover)	32.0%	Market value / EBITDA	6.2x
Equity cushion (1 − debt / market value)	49%	Spread per turn of leverage	40 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 34 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	47%	5.6	57.5%	78.5%
Funds from operations / debt	22%	7.1	19.5%	10.8%
Free operating cash flow / debt	23%	3.6	8.5%	2.5%
EBITDA / interest (with lease interest)	5.1x	5.8	3.2x	1.8x
EBITDA margin	20%	5.0		

Financial risk score 5.5. Business risk score 4.0: industry 4, steadiness of sales 3 (year-on-year growth varies by 4.8%), customer spread 5. The book puts 55% of the weight on business risk for this class, so the default risk score is 4.7: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

G5. Macro link: the issuer's downside risk in this economy

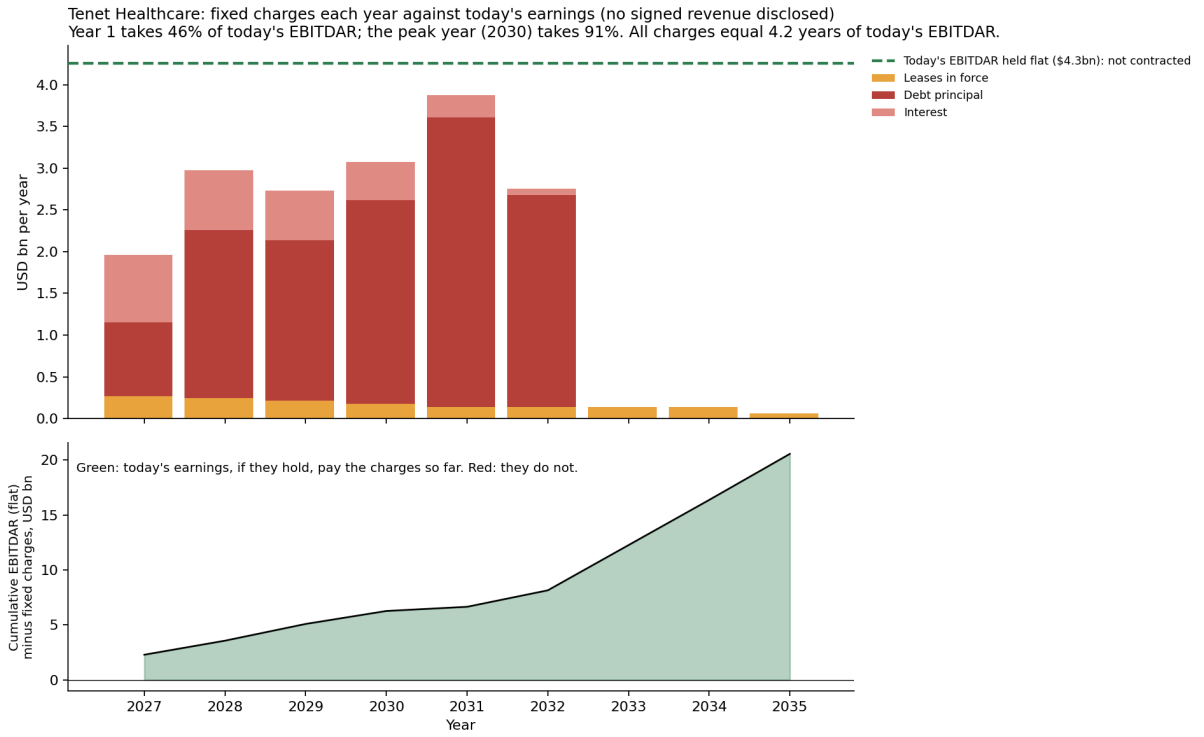
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-10-28 (estimate).
- Debt due by 1.0 years out: - $0.1bn.

Open questions, most important first:

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

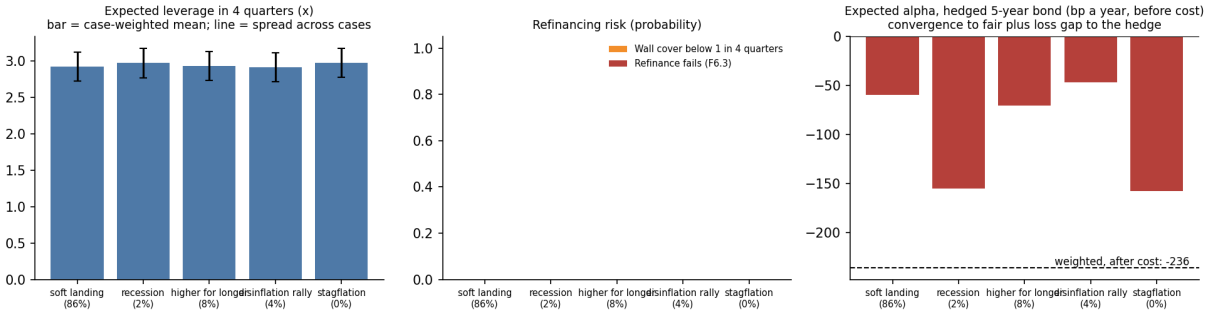
Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



Source: Tenet Healthcare SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

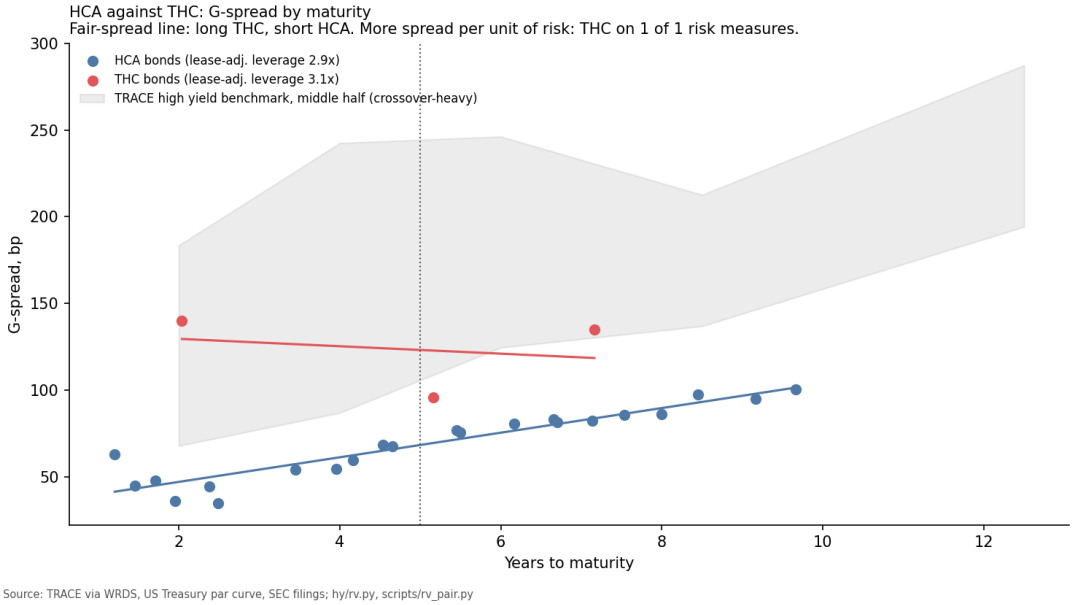
The two clocks (section G2.1).

Tenet Healthcare (THC) under each macro path; archetype A2, phase expansion



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Carnival Corp (CCL)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs; the checks point in different directions. If the money went elsewhere, the best alternative in this run is CRWV. Position size and hedge: open until the call passes.

The combined view: five groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the groups. It ranks 3 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+68	40%	+27	leans to owning
G2 clocks. Two clocks	+153	20%	+31	leans to owning
G2 rest. Built methods (rest)	-73	18%	-13	against owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	+16	17%	+3	leans to owning
Combined, before trading costs			**+48**	
Trading costs			-174	
Combined, after trading costs			**-126**	
Weighted cases and stories alone, after costs			-218	
Sized for a position (rank only, minimum size)			none	

Against the weighted cases and stories alone, the combination is 92 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 40%, two clocks 20%, built methods (rest) 18%, credit skills 5%, books and peers 17%. The macro link has no weight until its tests pass. The backtest alone would have put most weight on the built methods.

Position size. This number ranks the bond but does not size it. Source: linear size map fitted 2026-08-01 on 217 months, peer carry net, h = 6 months (decision page 2026-10-23-size-calibration). Fitted on past outcomes, every bond maps to about -108 bp a year: the average return of the sample against the index, not a view on this bond. The backtest ranks bonds well but overstates the size of the move; the size calibration refits that link each month from finished outcomes. Decision page: 2026-10-23-size-calibration.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +68 bp a year before trading costs (costs are 174 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 3 of the issuers on this group alone. Best alternative for the same money: CRWV.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-0	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+166	25%	+42	F4; RV PDF E75-E76
Debt against market value	+66	25%	+16	F7.7
Return above cash, repriced in every story	+42	25%	+10	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 129 bp over Treasuries at 5 years. Bonds of the same sector, rating and maturity pay 144 bp, so the bond is expensive by 15 bp. The high yield index pays 164 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** A. Overview I.Summary Carnival Corporation was incorporated in Panama in 1974 and Carnival plc was incorporated in England and Wales in 2000.
2. **How it earns:** revenue 27.3bn a year at a 27% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** contracts roll off or churn; the asset value cycle turns.

Business type: A5.

G1.3 Earnings, normalised

Last 12 months: EBITDA $7.3bn at a 27% margin; margin trend over 8 quarters -0.7 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.1bn. Free cash flow $3.2bn: 44% of EBITDA. Earnings-quality flags raised: EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.2bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$2.1bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$3.3bn
Cash to meet debt due in a year, base case	6.49x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($1.7bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$1.1bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$0.4bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$-1.5bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$1.1bn
Debt due inside 8 quarters, share of all debt	13%

Refinancing shock. $3.3bn falls due in the next two years. It pays about 6.65% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $-0.0bn (-0.1% of EBITDA). Interest cover after refinancing: 6.1x; after capital spending 3.1x. Free cash flow after the shock: 12.6% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$25.6bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$7.3bn
Debt / EBITDA	3.5x
(Debt + leases) / (EBITDA + rent)	3.5x
Net debt / EBITDA	3.2x
Coverage (after all capital spending)	3.1x
Fixed-charge cover (after maintenance spending)	3.86x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
143658AH5	6.65%	2028-01-15	101.9	5.15%	66
143658CB6	5.12%	2029-05-01	98.7	5.68%	96
143658BY7	5.75%	2030-03-15	99.6	5.87%	111
143658BZ4	5.87%	2031-06-15	99.1	6.09%	131
143658CA8	5.75%	2032-08-01	98.0	6.16%	134
143658BX9	6.12%	2033-02-15	98.9	6.34%	151

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $62bn (shares $38bn plus net debt): 8.4x EBITDA; debt is 41% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (143658BZ4, 5.88% due 2031-06-15, price 99.11 plus 1.52 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 65% of the price paid.

Measure	Value
Expected return above cash, bp a year	+42
Chance of a loss over six months	9.2%
Chance of doing worse than cash	9.2%
Average loss in the worst 5% of outcomes	8.4%
Total hedged return: Treasury and DTS beta x HY index hedged out, bp a year	-45
Hedge ratio on the HY index (DTS beta)	0.80
Best alternative in this run (worst 5% loss within the 25% budget)	CRWV
Return given up against that alternative, bp a year	+1,480

Catalysts inside the horizon: Next quarterly results (estimated from filing cadence) (2026-09-25); Debt due by 0.5 years out

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -73 bp a year before trading costs (costs are 174 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 5 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-34	48%	-17	Spec S14 E0; K15
Weighted cases and stories	-44	29%	-13	M5.4, M7.5
Spread against the fair line	-35	4%	-1	M7.4, M7.5
The pair	-643	10%	-62	M7.4; F10 S4
Health panel	+204	10%	+20	F8

G2.1 The two clocks: bills against what pays for them

Verdict: leans to owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +153 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 4 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+153	100%	+153	M4.7

Fixed bills total $50.7bn, centred 4.7 years out: leases in force $1.8bn, debt principal $25.6bn, interest $4.8bn, purchase commitments $18.5bn. That is 6.9 years of today's EBITDAR; next year's bills take 63% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.3%	3.4x	4.2x	$2.9bn	no	no
down moderate	11%	1.6%	4.1x	4.5x	$2.5bn	no	no
down severe	4%	1.6%	5.6x	5.6x	$2.2bn	no	no
upside	21%	1.5%	2.9x	3.8x	$3.3bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	3.5x	5.6x	0%	1.0%	-43
recession	2%	3.7x	5.9x	0%	2.7%	-110
higher for longer	8%	3.5x	5.6x	0%	1.2%	-50
disinflation rally	4%	3.4x	5.5x	0%	0.8%	-33
stagflation	0%	3.7x	5.9x	0%	2.7%	-112

G2.3 Relative value and the pair

Fair spread: median 5-year spread of sector x rating x maturity peers on the TRACE panel. 5-year spread 129 bp against a fair 144 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-10%	-11%
Sector only	-22%	+40%
Rating only	-10%	-7%

SPiDER (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 11% of the peer bonds across all sectors, and -67% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 41% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 52%) and the stock's 3-month return (-14.3%, rank 29%). It enters the score as E16 at 4.5%. **Against NCLH.** Spreads at 5 years: CCL 129 bp, NCLH 258 bp.

Spread per	CCL	NCLH	Cheaper
turn of leverage	37	45	NCLH

The fair line favours long NCLH, short CCL: a gap of 78 bp, which halves in about 3 weeks on six months of trades. Under the stories the pair earns soft landing +124, recession +416, higher for longer +174, disinflation rally +64, stagflation +429 bp a year; weighted +132 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -44 bp a year before trading costs, -218 bp after. It does not beat costs. The expected default loss is charged on the price paid: 65% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.1%	1.1%	0.0%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.0%	1.1%	-0.9%	1.0%	no
Spread against fair, sector peers (bp)	129	144	15	43	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	1.00	amber
Margin trend (t-statistic)	-0.72	amber
Coverage	3.09	green
Fixed-charge cover	3.86	green
Cash conversion (FCF / EBITDA)	0.44	green
Free cash flow / debt	0.13	green
Cash to meet debt due in 1 year (base case)	6.49	green
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $7.2bn. The company's own measure adds back $0.1bn of one-off items to reach $7.3bn: 1.5% of reported EBITDA (a negative figure is a one-off gain taken

out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $3.1bn. The two roads to free cash flow (the EBITDA bridge, $3.0bn; operating cash flow less capital spending, $3.2bn) differ by 2% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The filing states these maintenance tests. We test them on our own ratio, which uses our EBITDA, not the covenant's, and the whole group.

Test	Level	Our ratio	Headroom	Band	Notes
Maintain minimum interest coverage	3.00	6.07	51%	comfortable	EBITDA / cash interest
minimum liquidity	1,500.00	2,243.00	33%	comfortable	cash only (unused lines not tagged)

Tightest headroom we can read: 33% (comfortable). The lender's bands: 20% or more is comfortable, 10% to 20% needs attention, under 10% is tight.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: 6.6% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	5.3%
EBITDA	deteriorating	observation	-3.2%
EBITDA margin	deteriorating	observation	-8.1%
cash conversion	improving	data point	17.6%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	pass

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)

- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: leans to owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is +16 bp a year before trading costs (costs are 174 bp a year); 3 of 5 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 4 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+185	15%	+27	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+315	15%	+46	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	+8	26%	+2	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-150	18%	-27	Dynkin et al. ch. 14
OneScore: sector ranks of ESP and 3-month stock return	-125	26%	-33	Dynkin et al. ch. 19

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$7.3bn
less capital spending	$3.6bn
less cash interest	$1.2bn
less cash taxes	$0.0bn
less increase in working capital	$-0.5bn
Free cash flow	**$3.0bn**
Check: free cash flow before capital spending less operating cash flow	$-0.2bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	6.1x	Debt / EBITDA	3.5x
(EBITDA − capex) / interest	3.1x	Net debt / EBITDA	3.2x
(EBITDA − maintenance capex) / interest	3.9x	Free cash flow / debt	13.0%
EBITDA / debt (highest rate at 1x cover)	29.0%	Market value / EBITDA	8.4x
Equity cushion (1 − debt / market value)	59%	Spread per turn of leverage	37 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 34 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	40%	3.0	57.5%	78.5%
Funds from operations / debt	24%	6.6	19.5%	10.8%
Free operating cash flow / debt	13%	6.5	8.5%	2.5%
EBITDA / interest (with lease interest)	6.1x	5.2	3.2x	1.8x
EBITDA margin	27%	3.0		

Financial risk score 5.1. Business risk score 4.5: industry 5, steadiness of sales 3 (year-on-year growth varies by 3.7%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 4.8: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

G5. Macro link: the issuer's downside risk in this economy

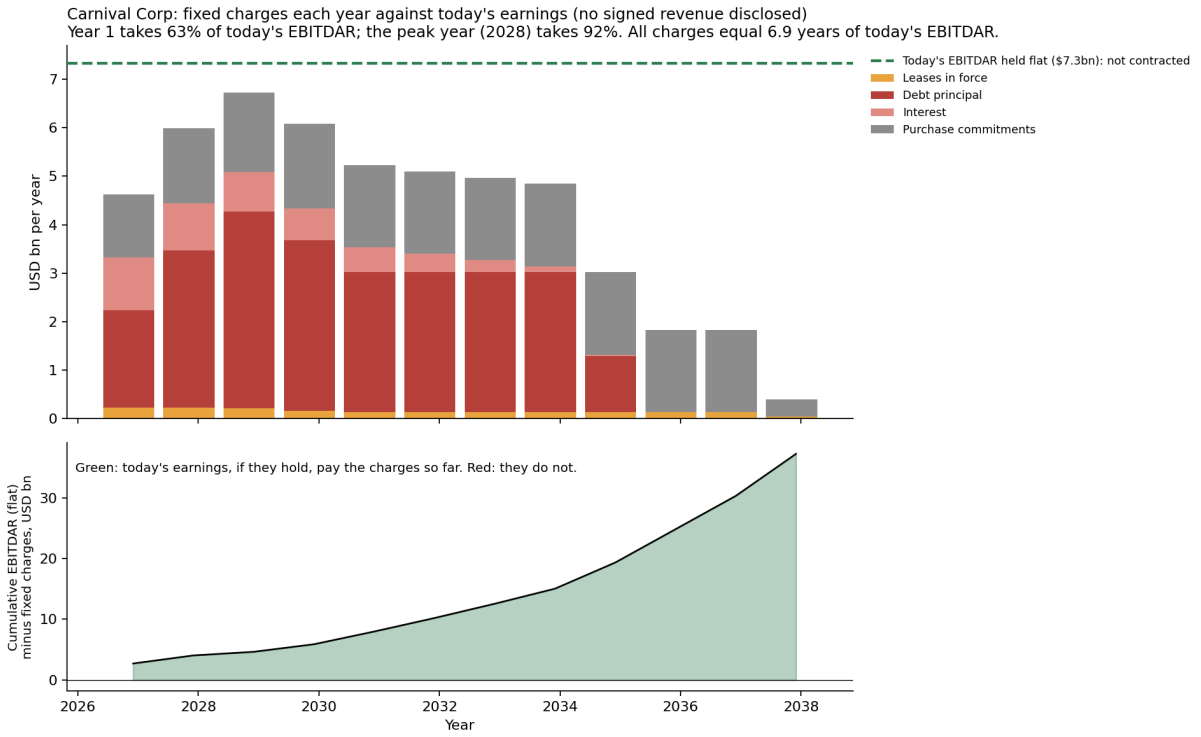
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-09-25 (estimate).
- Debt due by 0.5 years out: - $0.7bn.

Open questions, most important first:

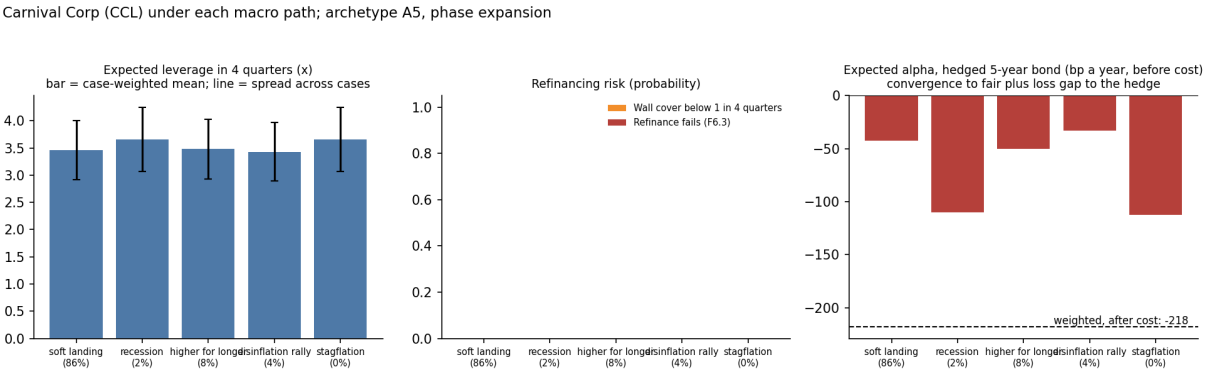
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
6. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
7. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
8. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
9. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).
10. Add-back table by class C1 to C10: read the company's adjusted EBITDA reconciliation (8-K exhibit 99); Compustat gives one special-items line, so the 5% test runs on the total.

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



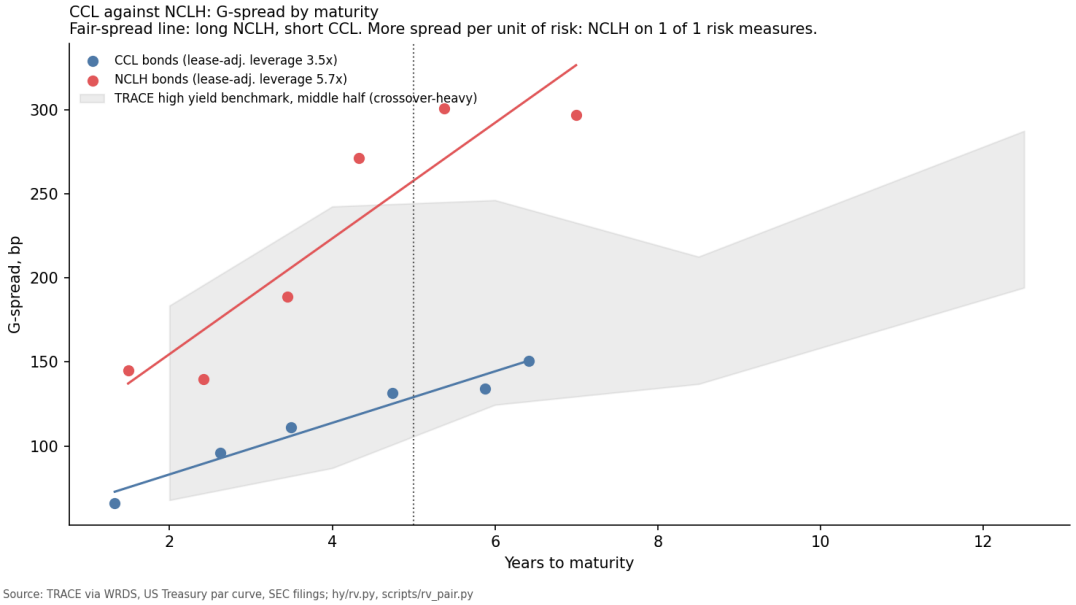
Source: Carnival Corp SEC filings as of 2026-05-31 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Norwegian Cruise Line Holdings (NCLH)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is CRWV. Position size and hedge: open until the call passes.

The combined view: five groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the groups. It ranks 5 of the issuers in this run. 2 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	-193	40%	-77	against owning
G2 clocks. Two clocks	+178	20%	+36	supports owning
G2 rest. Built methods (rest)	+110	18%	+20	leans to owning
G3. Credit skills	-374	5%	-19	against owning
G4. Books and peers	+94	17%	+16	leans to owning
Combined, before trading costs			**-25**	
Trading costs			-168	
Combined, after trading costs			**-193**	
Weighted cases and stories alone, after costs			-81	
Sized for a position (rank only, minimum size)			none	

Against the weighted cases and stories alone, the combination is 112 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 40%, two clocks 20%, built methods (rest) 18%, credit skills 5%, books and peers 17%. The macro link has no weight until its tests pass. The backtest alone would have put most weight on the built methods.

Position size. This number ranks the bond but does not size it. Source: linear size map fitted 2026-08-01 on 217 months, peer carry net, h = 6 months (decision page 2026-10-23-size-calibration). Fitted on past outcomes, every bond maps to about -108 bp a year: the average return of the sample against the index, not a view on this bond. The backtest ranks bonds well but overstates the size of the move; the size calibration refits that link each month from finished outcomes. Decision page: 2026-10-23-size-calibration.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: against owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is -193 bp a year before trading costs (costs are 168 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 8 of the issuers on this group alone. Best alternative for the same money: CRWV.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-13	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	-290	25%	-72	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	-430	25%	-107	F4; RV PDF E75-E76
Debt against market value	-459	25%	-115	F7.7
Return above cash, repriced in every story	+406	25%	+102	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 258 bp over Treasuries at 5 years. Bonds of the same sector, rating and maturity pay 201 bp, so the bond is cheap by 57 bp. The high yield index pays 164 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** History and Development of the Company Norwegian commenced operations from Miami, Florida in 1966, launching the modern cruise industry by offering weekly departures from Miami, Florida to destinations in the Caribbean. In February 2011, NCLH, a Bermuda limited company, was formed.
2. **How it earns:** revenue 10.2bn a year at a 27% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** contracts roll off or churn; the asset value cycle turns.

Business type: A5.

G1.3 Earnings, normalised

Last 12 months: EBITDA $2.7bn at a 27% margin; margin trend over 8 quarters -0.5 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.2bn. Free cash flow $-1.2bn: -44% of EBITDA. Earnings-quality flags raised: EQ7 conversion, EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$0.2bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$0.2bn
Runway at today's cash burn, all capital spending (quarters)	0.6
First quarter cash runs out, severe case, maintenance spending only	2
First quarter cash runs out, severe case, all committed spending	1
Runway we quote (the shortest)	**0.6** (static)
Debt due in the next 18 months	$1.6bn
Cash to meet debt due in a year, base case	1.80x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.7bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$-1.0bn
First quarter below zero, likely story	quarter 1
Lowest point with all capital spending	$-2.0bn
First quarter below zero with all capital spending	quarter 1
Lowest point, severe case	$-2.5bn
Severe case with all capital spending: first quarter below zero	quarter 1
Lowest point, weighted over the stories	$-1.0bn
Debt due inside 8 quarters, share of all debt	10%

Refinancing shock. $1.6bn falls due in the next two years. It pays about 6.12% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.0bn (0.9% of EBITDA). Interest cover after refinancing: n/a; after capital spending n/a. Free cash flow after the shock: -7.8% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$15.5bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$2.7bn
Debt / EBITDA	5.7x
(Debt + leases) / (EBITDA + rent)	5.7x
Net debt / EBITDA	5.6x
Coverage (after all capital spending)	n/a
Fixed-charge cover (after maintenance spending)	n/a

Bond	Coupon	Matures	Price	Yield	Spread (bp)
62888HAA7	6.12%	2028-03-15	100.2	5.98%	145
62886HBG5	7.75%	2029-02-15	103.3	6.10%	140
62886HBP5	6.25%	2030-03-01	98.8	6.64%	189
62886HBY6	5.87%	2031-01-15	94.1	7.48%	271
62886HBR1	6.75%	2032-02-01	95.4	7.80%	301
62886HBZ3	6.25%	2033-09-15	91.6	7.83%	297

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $25bn (shares $10bn plus net debt): 9.2x EBITDA; debt is 62% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (62886HBR1, 6.75% due 2032-02-01, price 95.44 plus 0.85 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 64% of the price paid.

Measure	Value
Expected return above cash, bp a year	+406
Chance of a loss over six months	11.5%
Chance of doing worse than cash	11.5%
Average loss in the worst 5% of outcomes	16.1%
Total hedged return: Treasury and DTS beta x HY index hedged out, bp a year	+88
Hedge ratio on the HY index (DTS beta)	1.84
Best alternative in this run (worst 5% loss within the 25% budget)	CRWV
Return given up against that alternative, bp a year	+1,116

Catalysts inside the horizon: Next quarterly results (estimated from filing cadence) (2026-11-02); Debt due by 0.5 years out

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: leans to owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +110 bp a year before trading costs (costs are 168 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 2 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	+94	48%	+45	Spec S14 E0; K15
Weighted cases and stories	+87	29%	+25	M5.4, M7.5
Spread against the fair line	+133	4%	+5	M7.4, M7.5
The pair	+643	10%	+62	M7.4; F10 S4
Health panel	-282	10%	-27	F8

G2.1 The two clocks: bills against what pays for them

Verdict: supports owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +178 bp a year before trading costs (costs are 168 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 3 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+178	100%	+178	M4.7

Fixed bills total $17.6bn, centred 5.6 years out: leases in force $2.2bn, debt principal $15.5bn. That is 6.5 years of today's EBITDAR; next year's bills take 41% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.5%	5.2x	6.3x	$0.4bn	no	no
down moderate	11%	1.9%	6.1x	6.8x	$0.3bn	no	no
down severe	4%	1.8%	8.6x	8.6x	$-0.2bn	2	no
upside	21%	1.8%	4.4x	5.8x	$0.5bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	5.3x	8.6x	0%	2.3%	81
recession	2%	5.6x	9.2x	100%	4.4%	306
higher for longer	8%	5.3x	8.7x	0%	2.3%	123
disinflation rally	4%	5.2x	8.6x	0%	2.3%	30
stagflation	0%	5.6x	9.2x	100%	4.4%	317

G2.3 Relative value and the pair

Fair spread: median 5-year spread of sector x rating x maturity peers on the TRACE panel. 5-year spread 258 bp against a fair 201 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: B (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	+28%	+22%
Sector only	+56%	+46%
Rating only	+56%	+31%

SPiDER (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 18% of the peer bonds across all sectors, and -70% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 50% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 67%) and the stock's 3-month return (-12.0%, rank 34%). It enters the score as E16 at 4.5%. **Against CCL.** Spreads at 5 years: CCL 129 bp, NCLH 258 bp.

Spread per	CCL	NCLH	Cheaper
turn of leverage	37	45	NCLH

The fair line favours long NCLH, short CCL: a gap of 78 bp, which halves in about 3 weeks on six months of trades. Under the stories the pair earns soft landing +124, recession +416, higher for longer +174, disinflation rally +64, stagflation +429 bp a year; weighted +132 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 87 bp a year before trading costs, -81 bp after. It does not beat costs. The expected default loss is charged on the price paid: 64% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	2.1%	2.3%	0.2%	open	not tested
Breakeven default probability, 12 months (loss on price)	4.0%	2.3%	-1.7%	2.0%	no
Spread against fair, sector peers (bp)	258	201	-57	167	no
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Little of the earnings turns into free cash. Tracked by: cash conversion (fcf / ebitda) (-0.44). Resolves when: growth spending ends.
- Free cash flow repays little debt. Tracked by: free cash flow / debt (-0.08). Resolves when: free cash flow turns positive.

Measure	Value	Band
Cash conversion (FCF / EBITDA)	-0.44	red
Free cash flow / debt	-0.08	red
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	2.00	amber
Margin trend (t-statistic)	-0.46	amber
Chance debt due in 1 year is not covered	0.15	amber
Cash to meet debt due in 1 year (base case)	1.80	green
Weight on the downside cases	0.15	green
Chance cash runs out within 2 years	0.04	green
Coverage	n/a	n/a
Fixed-charge cover	n/a	n/a

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: against owning. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is -374 bp a year before trading costs (costs are 168 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 6 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: watchlist.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	-374	100%	-374	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $2.6bn. The company's own measure adds back $0.2bn of one-off items to reach $2.7bn: 6.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is above the 5% line the lender's checklist sets for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $-1.4bn. The two roads to free cash flow (the EBITDA bridge, n/a; operating cash flow less capital spending, $-1.2bn) differ by n/a of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The filing states these maintenance tests. We test them on our own ratio, which uses our EBITDA, not the covenant's, and the whole group.

Test	Level	Our ratio	Headroom	Band	Notes
an EBITDA to consolidated debt service ratio	1.25	n/a	n/a	open	only tested below a trigger; EBITDA / (cash interest + debt due in 12 months)
free liquidity	250.00	218.10	-15%	proxy only (open)	our ratio is only a bound for this test; cash only (unused lines not tagged)

No test can be read on our own ratio: each one binds a narrower group of debt or needs the credit lines. Headroom stays an open question; it does not move the watchlist.

G3.3 Watchlist and trajectory

Watchlist tier: **watchlist** because free cash flow is negative. EBITDA against the same months a year earlier: 10.3% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	4.9%
EBITDA	deteriorating	observation	-1.5%
EBITDA margin	deteriorating	observation	-6.1%
cash conversion	deteriorating	observation	-61.4%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: leans to owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is +94 bp a year before trading costs (costs are 168 bp a year); 3 of 5 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 3 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+39	15%	+6	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+0	15%	+0	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	+287	26%	+76	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-43	18%	-8	Dynkin et al. ch. 14
OneScore: sector ranks of ESP and 3-month stock return	+76	26%	+20	Dynkin et al. ch. 19

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$2.7bn
less capital spending	$3.3bn
less cash interest	n/a
less cash taxes	$0.0bn
less increase in working capital	$-0.1bn
Free cash flow	**n/a**
Check: free cash flow before capital spending less operating cash flow	n/a
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	n/a	Debt / EBITDA	5.7x
(EBITDA − capex) / interest	n/a	Net debt / EBITDA	5.6x
(EBITDA − maintenance capex) / interest	n/a	Free cash flow / debt	-8.0%
EBITDA / debt (highest rate at 1x cover)	18.0%	Market value / EBITDA	9.2x
Equity cushion (1 − debt / market value)	38%	Spread per turn of leverage	45 bp

Kricheff's snapshot rule: operating cash flow does not cover capital spending, so the issuer lives on the capital markets and needs the detailed liquidity work of section G1.4. Spread per turn compares the bond with the run's median of 34 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	61%	7.9	57.5%	78.5%
Funds from operations / debt	13%	8.9	19.5%	10.8%
Free operating cash flow / debt	-8%	9.9	8.5%	2.5%
EBITDA / interest (with lease interest)	n/a	n/a	3.2x	1.8x
EBITDA margin	27%	3.0		

Financial risk score 7.7. Business risk score 4.5: industry 5, steadiness of sales 3 (year-on-year growth varies by 4.1%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 6.3: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

G5. Macro link: the issuer's downside risk in this economy

Coming events, open questions, and the record

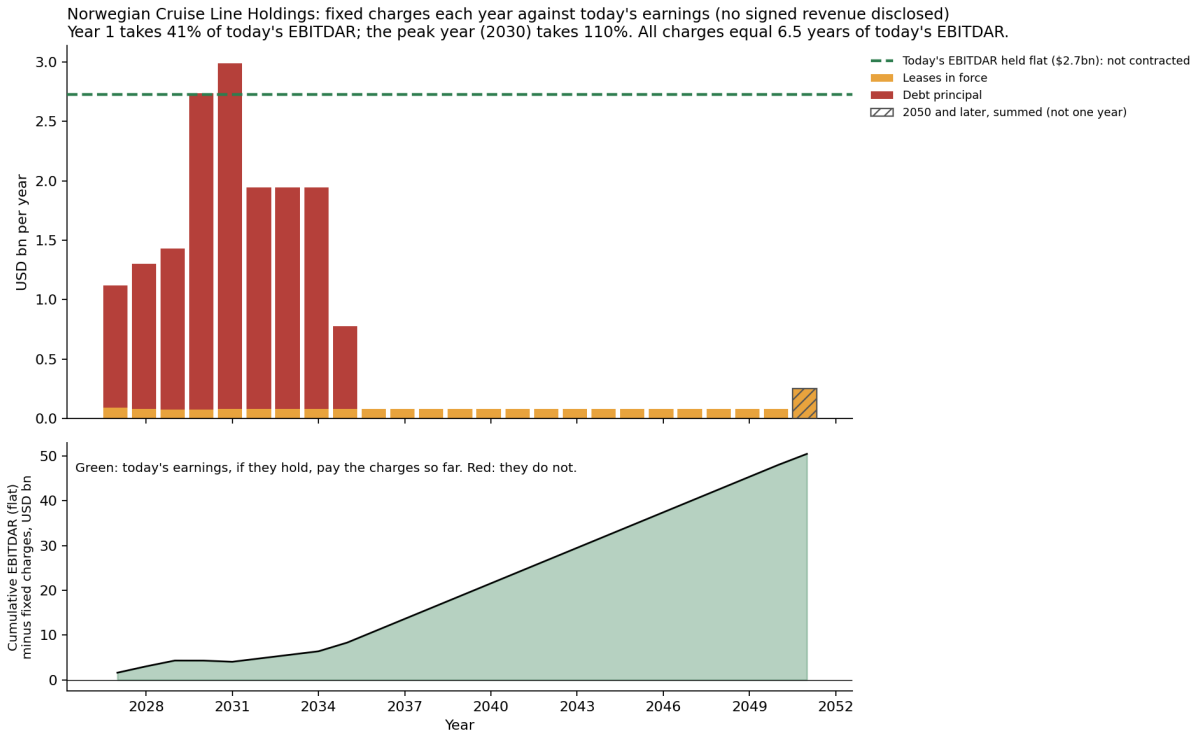
- Next quarterly results (estimated from filing cadence): 2026-11-02 (estimate).
- Debt due by 0.5 years out: - $0.5bn.

Open questions, most important first:

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).

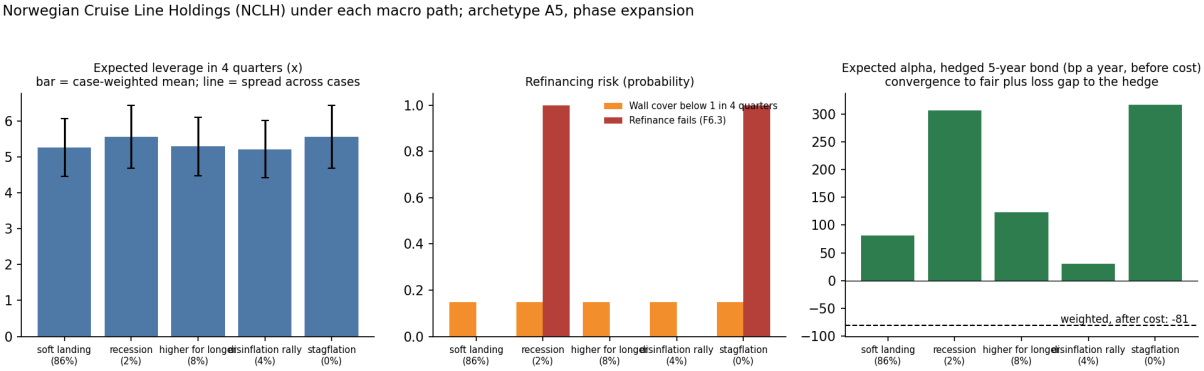
5. Covenant 'free liquidity': our ratio is only a bound for this test (subsidiary group, narrower debt, or untagged credit lines); read the credit agreement definition.
6. The funding gap opens only because no revolver capacity is tagged: read the credit facility note before using the gap.
7. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
8. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
9. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
10. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



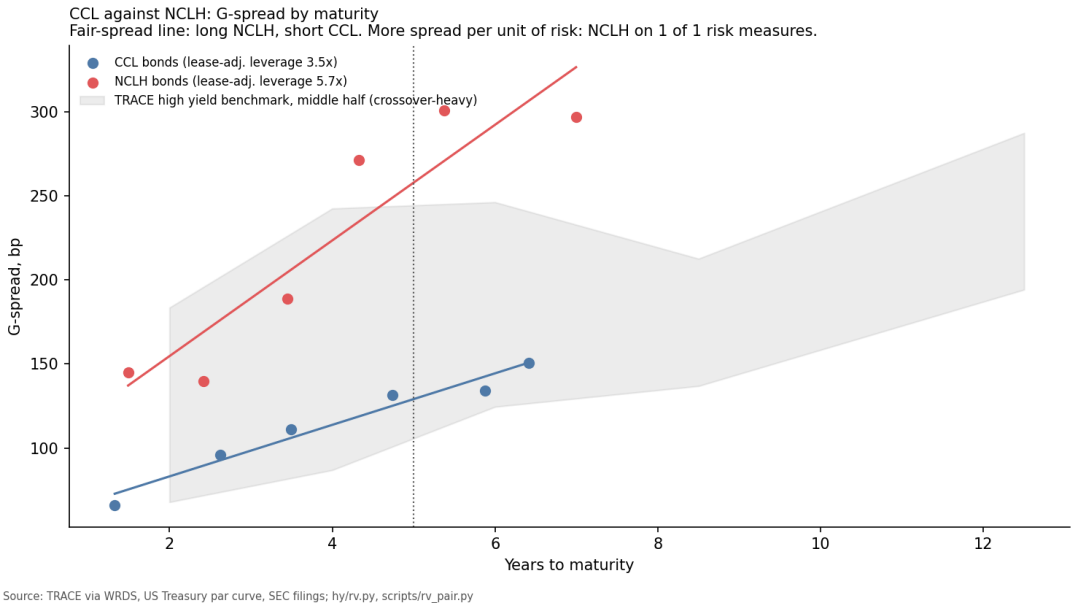
Source: Norwegian Cruise Line Holdings SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

MGM Resorts International (MGM)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs; the checks point in different directions. If the money went elsewhere, the best alternative in this run is CRWV. Position size and hedge: open until the call passes.

The combined view: five groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the groups. It ranks 6 of the issuers in this run. 2 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+16	40%	+6	leans to owning
G2 clocks. Two clocks	-189	20%	-38	against owning
G2 rest. Built methods (rest)	+29	18%	+5	leans to owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	-189	17%	-32	against owning
Combined, before trading costs			**-58**	
Trading costs			-172	
Combined, after trading costs			**-230**	
Weighted cases and stories alone, after costs			-266	
Sized for a position (rank only, minimum size)			none	

Against the weighted cases and stories alone, the combination is 36 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 40%, two clocks 20%, built methods (rest) 18%, credit skills 5%, books and peers 17%. The macro link has no weight until its tests pass. The backtest alone would have put most weight on the built methods.

Position size. This number ranks the bond but does not size it. Source: linear size map fitted 2026-08-01 on 217 months, peer carry net, h = 6 months (decision page 2026-10-23-size-calibration). Fitted on past outcomes, every bond maps to about -108 bp a year: the average return of the sample against the index, not a view on this bond. The backtest ranks bonds well but overstates the size of the move; the size calibration refits that link each month from finished outcomes. Decision page: 2026-10-23-size-calibration.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +16 bp a year before trading costs (costs are 172 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 5 of the issuers on this group alone. Best alternative for the same money: CRWV.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-20	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	-290	25%	-72	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+166	25%	+42	F4; RV PDF E75-E76
Debt against market value	+116	25%	+29	F7.7
Return above cash, repriced in every story	+72	25%	+18	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 175 bp over Treasuries at 5 years. Bonds of the same sector, rating and maturity pay 201 bp, so the bond is expensive by 27 bp. The high yield index pays 164 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** MGM Resorts International is referred to as the "Company," "MGM Resorts," or the "Registrant," and together with its subsidiaries may also be referred to as "we," "us" or "our." Overview MGM Resorts International is a Delaware corporation incorporated in 1986 that acts largely as a holding company and, through subsidiaries, is a global gaming and entertainment company with domestic and international locations featuring best-in-class hotels and casinos, state-of-the-art meeting and conference spa
2. **How it earns:** revenue 17.8bn a year at a 14% EBITDA margin.
3. **What it must spend to stand still:** rent of about $2.3bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** an asset-specific shock or a block on distributions.

Business type: A7.

G1.3 Earnings, normalised

Last 12 months: EBITDA $2.4bn at a 14% margin; margin trend over 8 quarters 1.2 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.3bn. Free cash flow $1.5bn: 62% of EBITDA. Earnings-quality flags raised: EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.8bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$2.7bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$1.1bn
Cash to meet debt due in a year, base case	3.32x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($1.2bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$1.1bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$1.1bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$-0.4bn
Severe case with all capital spending: first quarter below zero	quarter 8
Lowest point, weighted over the stories	$1.1bn
Debt due inside 8 quarters, share of all debt	42%

Refinancing shock. $2.6bn falls due in the next two years. It pays about 4.75% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.1bn (2.2% of EBITDA). Interest cover after refinancing: 5.5x; after capital spending 3.3x. Free cash flow after the shock: 23.8% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$6.1bn
Lease liabilities	$24.1bn
EBITDA, last 12 months	$2.4bn
Debt / EBITDA	2.5x
(Debt + leases) / (EBITDA + rent)	6.4x
Net debt / EBITDA	1.5x
Coverage (after all capital spending)	3.8x
Fixed-charge cover (after maintenance spending)	1.40x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
552953CH2	4.75%	2028-10-15	99.3	5.12%	44
552953CK5	6.12%	2029-09-15	100.5	5.88%	113
552953CJ8	6.50%	2032-04-15	98.9	6.73%	193

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $16bn (shares $12bn plus net debt): 6.5x EBITDA; debt is 39% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (552953CJ8, 6.50% due 2032-04-15, price 98.93 plus 2.75 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 66% of the price paid.

Measure	Value
Expected return above cash, bp a year	+72
Chance of a loss over six months	9.5%
Chance of doing worse than cash	11.2%
Average loss in the worst 5% of outcomes	13.2%
Total hedged return: Treasury and DTS beta x HY index hedged out, bp a year	-99
Hedge ratio on the HY index (DTS beta)	1.18
Best alternative in this run (worst 5% loss within the 25% budget)	CRWV
Return given up against that alternative, bp a year	+1,450

Catalysts inside the horizon: Next quarterly results (estimated from filing cadence) (2026-10-29)

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: leans to owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +29 bp a year before trading costs (costs are 172 bp a year); 3 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 4 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	+11	48%	+5	Spec S14 E0; K15
Weighted cases and stories	-94	29%	-27	M5.4, M7.5
Spread against the fair line	-64	4%	-2	M7.4, M7.5
The pair	+353	10%	+34	M7.4; F10 S4
Health panel	+204	10%	+20	F8

G2.1 The two clocks: bills against what pays for them

Verdict: against owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is -189 bp a year before trading costs (costs are 172 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 6 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	-189	100%	-189	M4.7

Fixed bills total $59.2bn, centred 12.2 years out: leases in force $52.7bn, debt principal $6.3bn, interest $0.3bn. That is 12.5 years of today's EBITDAR; next year's bills take 82% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	60%	0.8%	2.4x	2.4x	$3.0bn	no	no
down moderate	15%	1.2%	3.4x	3.4x	$3.1bn	no	no
down severe	5%	1.1%	5.6x	5.6x	$2.9bn	no	no
upside	20%	1.1%	1.8x	2.3x	$3.1bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	2.6x	5.6x	0%	1.7%	-92
recession	2%	2.8x	6.1x	0%	4.2%	-229
higher for longer	8%	2.6x	5.7x	0%	1.7%	-89
disinflation rally	4%	2.6x	5.6x	0%	1.7%	-96
stagflation	0%	2.8x	6.1x	0%	4.2%	-228

G2.3 Relative value and the pair

Fair spread: median 5-year spread of sector x rating x maturity peers on the TRACE panel. 5-year spread 175 bp against a fair 201 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: CCC (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-13%	-46%
Sector only	+6%	-58%
Rating only	-37%	-49%

SPiDER (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 6% of the peer bonds across all sectors, and -49% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 47% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 45%) and the stock's 3-month return (-5.3%, rank 49%). It enters the score as E16 at 4.5%. **Against WYNN.** Spreads at 5 years: MGM 175 bp, WYNN 165 bp.

Spread per	MGM	WYNN	Cheaper
turn of leverage	27	28	WYNN

The fair line favours long MGM, short WYNN: a gap of 42 bp, which halves in about 2 weeks on six months of trades. Under the stories the pair earns soft landing +133, recession +355, higher for longer +178, disinflation rally +78, stagflation +366 bp a year; weighted +139 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -94 bp a year before trading costs, -266 bp after. It does not beat costs. The expected default loss is charged on the price paid: 66% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.4%	1.8%	0.3%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.7%	1.8%	-0.9%	1.3%	no
Spread against fair, sector peers (bp)	175	201	27	151	no
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Fixed-charge cover	1.40	amber
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	1.00	amber
Coverage	3.77	green
Cash conversion (FCF / EBITDA)	0.62	green
Free cash flow / debt	0.25	green
Cash to meet debt due in 1 year (base case)	3.32	green
Margin trend (t-statistic)	1.23	green
Weight on the downside cases	0.20	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 172 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $2.0bn. The company's own measure adds back $0.3bn of one-off items to reach $2.4bn: 17.5% of reported EBITDA (a negative figure is a one-off gain taken

out). This is above the 5% line the lender's checklist sets for one item. The total is above 10%. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $1.2bn. The two roads to free cash flow (the EBITDA bridge, $1.3bn; operating cash flow less capital spending, $1.5bn) differ by 7% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: n/a (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	1.0%
EBITDA	open	no data	n/a
EBITDA margin	open	no data	n/a
cash conversion	open	no data	n/a

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is -189 bp a year before trading costs (costs are 172 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 6 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	-536	15%	-79	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	-208	15%	-31	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-19	26%	-5	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-428	18%	-75	Dynkin et al. ch. 14
OneScore: sector ranks of ESP and 3-month stock return	+4	26%	+1	Dynkin et al. ch. 19

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$2.4bn
less capital spending	$1.0bn
less cash interest	$0.4bn
less cash taxes	$-0.2bn
less increase in working capital	$-0.1bn
Free cash flow	**$1.3bn**
Check: free cash flow before capital spending less operating cash flow	$-0.2bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	6.3x	Debt / EBITDA	6.4x
(EBITDA − capex) / interest	3.8x	Net debt / EBITDA	5.8x
(EBITDA − maintenance capex) / interest	3.9x	Free cash flow / debt	25.0%
EBITDA / debt (highest rate at 1x cover)	40.0%	Market value / EBITDA	6.4x
Equity cushion (1 − debt / market value)	60%	Spread per turn of leverage	27 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 34 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	71%	8.8	57.5%	78.5%
Funds from operations / debt	8%	9.6	19.5%	10.8%
Free operating cash flow / debt	5%	8.7	8.5%	2.5%
EBITDA / interest (with lease interest)	1.7x	9.6	3.2x	1.8x
EBITDA margin	14%	5.0		

Financial risk score 8.6. Business risk score 5.0: industry 6, steadiness of sales 3 (year-on-year growth varies by 2.9%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 7.0: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

G5. Macro link: the issuer's downside risk in this economy

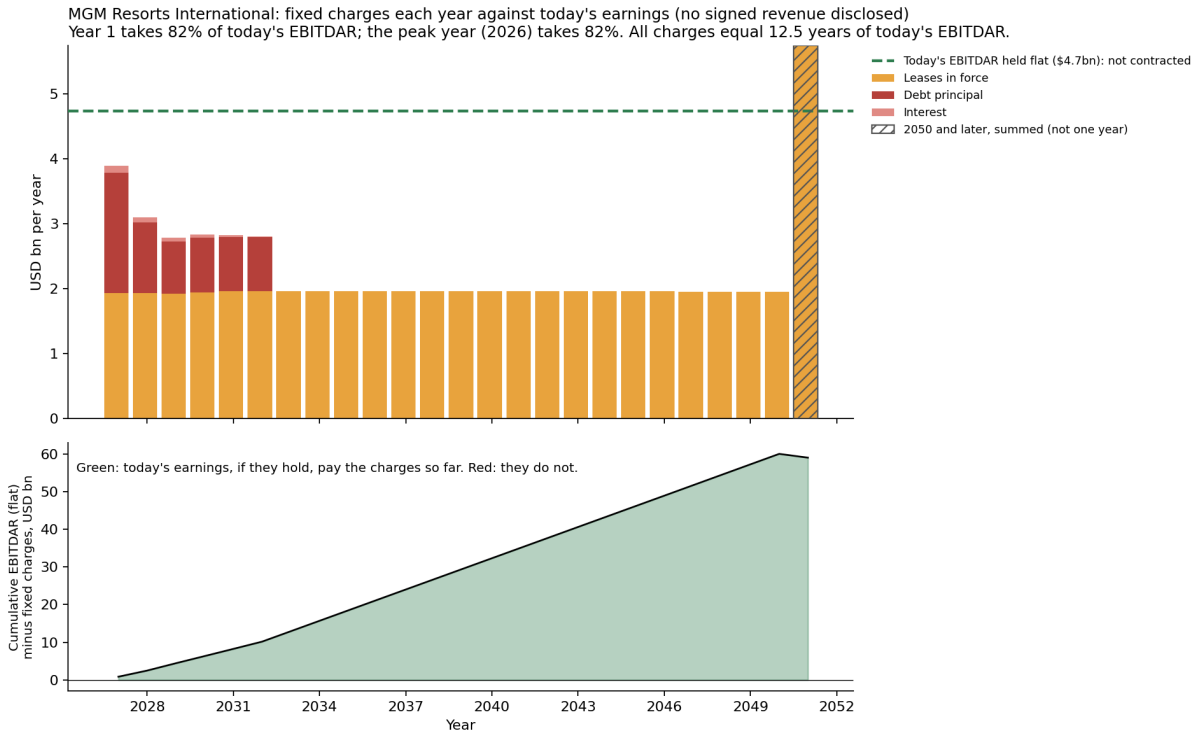
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-10-29 (estimate).
- Debt due by 1.0 years out: - $1.1bn.

Open questions, most important first:

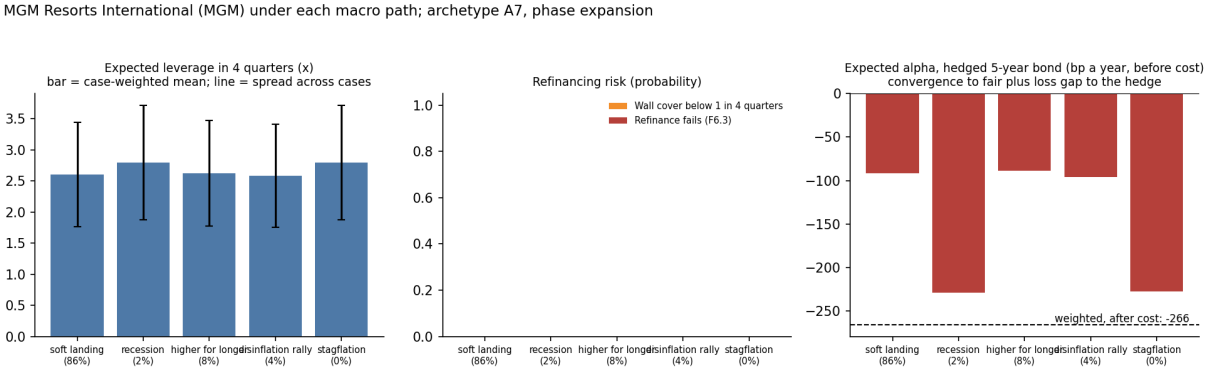
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



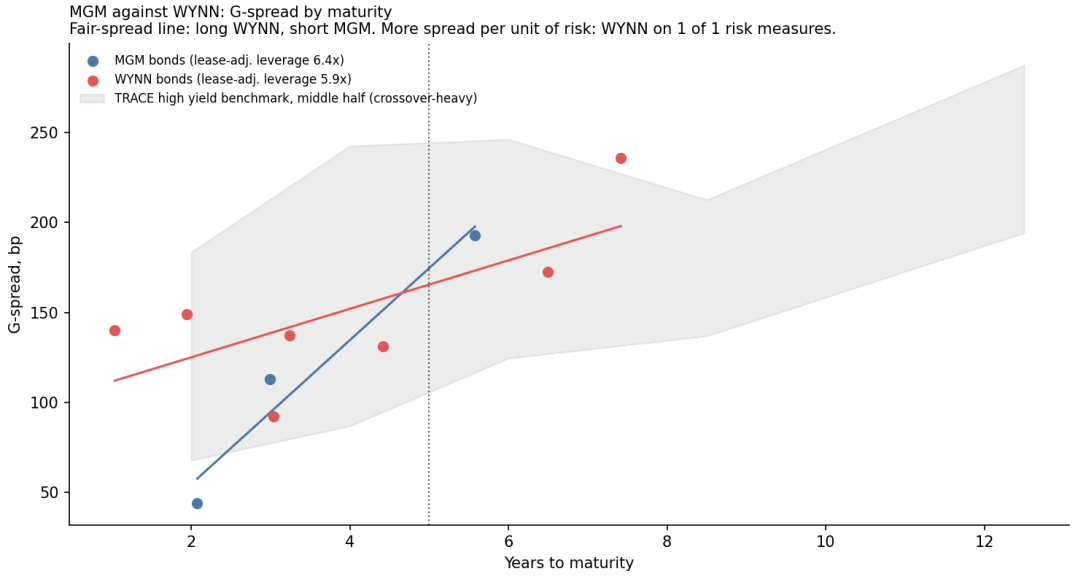
Source: MGM Resorts International SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Wynn Resorts (WYNN)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs; the checks point in different directions. If the money went elsewhere, the best alternative in this run is CRWV. Position size and hedge: open until the call passes.

The combined view: five groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the groups. It ranks 7 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	-57	40%	-23	against owning
G2 clocks. Two clocks	+7	20%	+1	leans to owning
G2 rest. Built methods (rest)	-109	18%	-20	against owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	-225	17%	-38	against owning
Combined, before trading costs			**-79**	
Trading costs			-172	
Combined, after trading costs			**-251**	
Weighted cases and stories alone, after costs			-406	
Sized for a position (rank only, minimum size)			none	

Against the weighted cases and stories alone, the combination is 154 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 40%, two clocks 20%, built methods (rest) 18%, credit skills 5%, books and peers 17%. The macro link has no weight until its tests pass. The backtest alone would have put most weight on the built methods.

Position size. This number ranks the bond but does not size it. Source: linear size map fitted 2026-08-01 on 217 months, peer carry net, h = 6 months (decision page 2026-10-23-size-calibration). Fitted on past outcomes, every bond maps to about -108 bp a year: the average return of the sample against the index, not a view on this bond. The backtest ranks bonds well but overstates the size of the move; the size calibration refits that link each month from finished outcomes. Decision page: 2026-10-23-size-calibration.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: against owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is -57 bp a year before trading costs (costs are 172 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 7 of the issuers on this group alone. Best alternative for the same money: CRWV.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-33	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+166	25%	+42	F4; RV PDF E75-E76
Debt against market value	-309	25%	-77	F7.7
Return above cash, repriced in every story	-85	25%	-21	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 165 bp over Treasuries at 5 years. Bonds of the same sector, rating and maturity pay 251 bp, so the bond is expensive by 85 bp. The high yield index pays 164 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** Wynn Resorts, Limited ("Wynn Resorts," "Wynn," or together with its subsidiaries, "we" or the "Company") is a preeminent designer, developer, and operator of integrated resorts featuring luxury hotel rooms, high-end retail space, an array of dining and entertainment options, meeting and convention facilities, and gaming, all supported by an unparalleled focus on our guests, our people, and our community. We believe that our extensive design and operational experience across numerous gaming juris
2. **How it earns:** revenue 7.4bn a year at a 24% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** an asset-specific shock or a block on distributions.

Business type: A7.

G1.3 Earnings, normalised

Last 12 months: EBITDA $1.8bn at a 24% margin; margin trend over 8 quarters -1.6 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.0bn. Free cash flow $0.8bn: 44% of EBITDA. Earnings-quality flags raised: EQ5 recurrence, FCF check (waterfall against OCF less capex) (of 5 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.1bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.0bn
Liquidity	$2.1bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$0.0bn
Cash to meet debt due in a year, base case	347.38x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.5bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$1.2bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$1.2bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$0.2bn
Severe case with all capital spending: first quarter below zero	no gap in 8 quarters
Lowest point, weighted over the stories	$1.2bn
Debt due inside 8 quarters, share of all debt	27%

Refinancing shock. $2.9bn falls due in the next two years. It pays about 5.56% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.0bn (1.8% of EBITDA). Interest cover after refinancing: 2.7x; after capital spending 1.7x. Free cash flow after the shock: 7.1% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$10.7bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$1.8bn
Debt / EBITDA	6.0x
(Debt + leases) / (EBITDA + rent)	6.0x
Net debt / EBITDA	5.1x
Coverage (after all capital spending)	1.8x
Fixed-charge cover (after maintenance spending)	1.86x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
98313RAD8	5.50%	2027-10-01	99.7	5.81%	140
98313RAH9	5.63%	2028-08-26	99.1	6.14%	149
983133AA7	5.12%	2029-10-01	98.5	5.67%	92
98313RAE6	5.12%	2029-12-15	97.1	6.13%	137
983133AC3	7.12%	2031-02-15	103.8	6.08%	131
983133AD1	6.25%	2033-03-15	98.3	6.57%	173

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $19bn (shares $10bn plus net debt): 10.6x EBITDA; debt is 56% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (983133AC3, 7.12% due 2031-02-15, price 103.79 plus 0.62 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 67% of the price paid.

Measure	Value
Expected return above cash, bp a year	-85
Chance of a loss over six months	9.6%
Chance of doing worse than cash	9.6%
Average loss in the worst 5% of outcomes	13.9%
Total hedged return: Treasury and DTS beta x HY index hedged out, bp a year	-180
Hedge ratio on the HY index (DTS beta)	0.80
Best alternative in this run (worst 5% loss within the 25% budget)	CRWV
Return given up against that alternative, bp a year	+1,606

Catalysts inside the horizon: Next quarterly results (estimated from filing cadence) (2026-11-05)

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -109 bp a year before trading costs (costs are 172 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 6 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	+2	48%	+1	Spec S14 E0; K15
Weighted cases and stories	-234	29%	-67	M5.4, M7.5
Spread against the fair line	-204	4%	-8	M7.4, M7.5
The pair	-353	10%	-34	M7.4; F10 S4
Health panel	-11	10%	-1	F8

G2.1 The two clocks: bills against what pays for them

Verdict: leans to owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +7 bp a year before trading costs (costs are 172 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 5 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+7	100%	+7	M4.7

Fixed bills total $16.7bn, centred 5.9 years out: leases in force $4.3bn, debt principal $10.6bn, interest $1.8bn. That is 9.3 years of today's EBITDAR; next year's bills take 115% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	60%	1.6%	5.6x	5.9x	$2.4bn	no	no
down moderate	15%	1.9%	6.7x	6.7x	$2.3bn	no	no
down severe	5%	1.9%	9.3x	9.3x	$2.2bn	no	no
upside	20%	1.8%	4.8x	5.5x	$2.4bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	5.8x	9.3x	0%	1.8%	-225
recession	2%	6.2x	10.0x	0%	4.6%	-584
higher for longer	8%	5.8x	9.4x	0%	2.1%	-266
disinflation rally	4%	5.7x	9.2x	0%	1.4%	-175
stagflation	0%	6.2x	10.0x	0%	4.7%	-594

G2.3 Relative value and the pair

Fair spread: median 5-year spread of sector x rating x maturity peers on the TRACE panel. 5-year spread 165 bp against a fair 251 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: B (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-34%	-42%
Sector only	-1%	-18%
Rating only	-1%	-26%

SPiDER (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 19% of the peer bonds across all sectors, and -70% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 30% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 19%) and the stock's 3-month return (-9.6%, rank 42%). It enters the score as E16 at 4.5%. **Against MGM.** Spreads at 5 years: MGM 175 bp, WYNN 165 bp.

Spread per	MGM	WYNN	Cheaper
turn of leverage	27	28	WYNN

The fair line favours long MGM, short WYNN: a gap of 42 bp, which halves in about 2 weeks on six months of trades. Under the stories the pair earns soft landing +133, recession +355, higher for longer +178, disinflation rally +78, stagflation +366 bp a year; weighted +139 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -234 bp a year before trading costs, -406 bp after. It does not beat costs. The expected default loss is charged on the price paid: 67% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.4%	1.9%	0.5%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.5%	1.9%	-0.6%	1.2%	no
Spread against fair, sector peers (bp)	165	251	85	143	no
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Margins are falling. Tracked by: margin trend (t-statistic) (-1.61). Resolves when: two quarters of stable margins.

Measure	Value	Band
Margin trend (t-statistic)	-1.61	red
Coverage	1.80	amber
Free cash flow / debt	0.07	amber
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	2.00	amber
Fixed-charge cover	1.86	green
Cash conversion (FCF / EBITDA)	0.44	green
Cash to meet debt due in 1 year (base case)	347.38	green
Weight on the downside cases	0.20	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 172 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $1.8bn. The company's own measure adds back $0.0bn of one-off items to reach $1.8bn: 0.0% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $0.8bn. The two roads to free cash flow (the EBITDA bridge, $0.4bn; operating cash flow less capital spending, $0.8bn) differ by 21% of EBITDA: above the 10% tolerance, so an earnings-quality flag is raised. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The filing states these maintenance tests. We test them on our own ratio, which uses our EBITDA, not the covenant's, and the whole group.

Test	Level	Our ratio	Headroom	Band	Notes
a Consolidated First Lien Net Leverage Ratio	3.75	4.78	-28%	proxy only (open)	binds a subsidiary group; our ratio is only a bound for this test; net debt / EBITDA

No test can be read on our own ratio: each one binds a narrower group of debt or needs the credit lines. Headroom stays an open question; it does not move the watchlist.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: 0.8% (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	6.9%
EBITDA	improving	data point	10.9%
EBITDA margin	improving	observation	3.8%
cash conversion	improving	trend	27.4%

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)

- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is -225 bp a year before trading costs (costs are 172 bp a year); 5 of 5 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 7 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	-330	15%	-49	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	-130	15%	-19	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-232	26%	-61	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-27	18%	-5	Dynkin et al. ch. 14
OneScore: sector ranks of ESP and 3-month stock return	-345	26%	-91	Dynkin et al. ch. 19

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$1.8bn
less capital spending	$0.7bn
less cash interest	$0.6bn
less cash taxes	$0.1bn
less increase in working capital	$-0.0bn
Free cash flow	**$0.4bn**
Check: free cash flow before capital spending less operating cash flow	$-0.4bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	2.9x	Debt / EBITDA	6.0x
(EBITDA − capex) / interest	1.8x	Net debt / EBITDA	4.8x
(EBITDA − maintenance capex) / interest	1.9x	Free cash flow / debt	7.0%
EBITDA / debt (highest rate at 1x cover)	17.0%	Market value / EBITDA	10.3x
Equity cushion (1 − debt / market value)	43%	Spread per turn of leverage	28 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 34 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	52%	6.5	57.5%	78.5%
Funds from operations / debt	13%	8.9	19.5%	10.8%
Free operating cash flow / debt	7%	7.9	8.5%	2.5%
EBITDA / interest (with lease interest)	2.9x	8.0	3.2x	1.8x
EBITDA margin	24%	3.0		

Financial risk score 7.2. Business risk score 5.5: industry 6, steadiness of sales 5 (year-on-year growth varies by 5.8%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 6.4: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

G5. Macro link: the issuer's downside risk in this economy

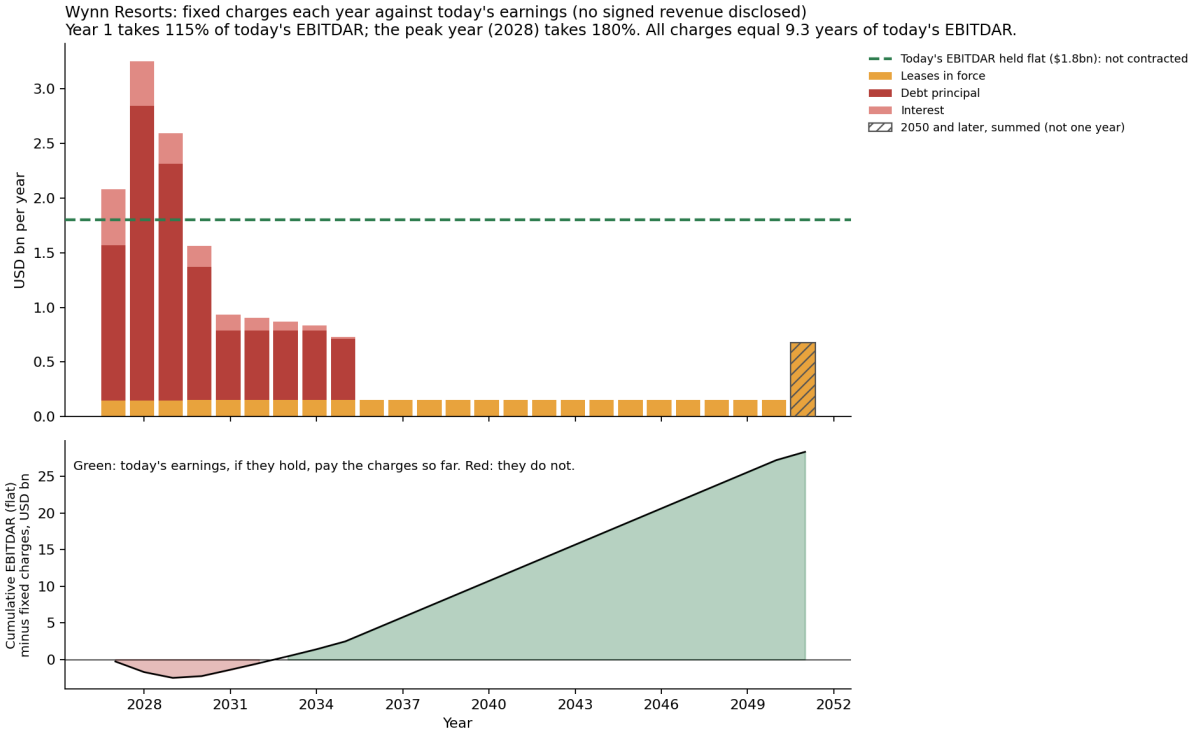
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-11-05 (estimate).
- Debt due by 1.0 years out: - $0.0bn.

Open questions, most important first:

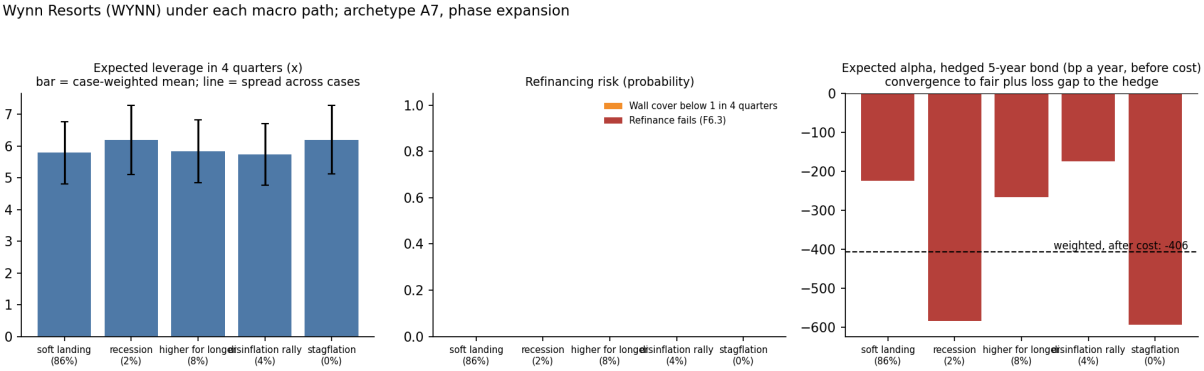
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Covenant 'a Consolidated First Lien Net Leverage Ratio': our ratio is only a bound for this test (subsidiary group, narrower debt, or untagged credit lines); read the credit agreement definition.
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



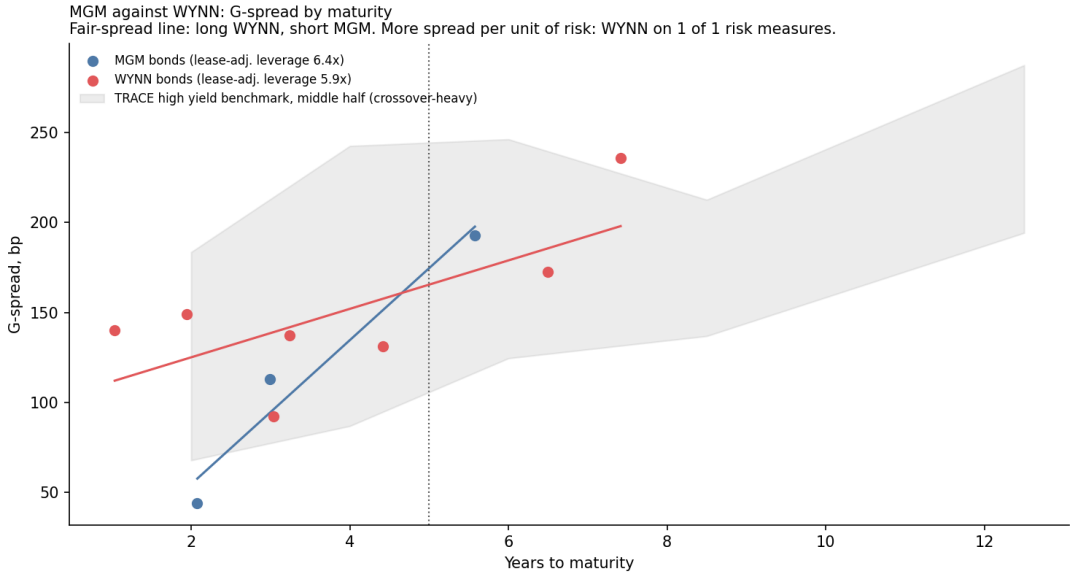
Source: Wynn Resorts SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).